

PetroVietnam Technical Services Corporation

Analysed & Presented by

The Bulls



Valuation date: 25/06/2026

Stock ticker: PVS (HNX)

PetroVietnam Technical Services Corporation

Hanoi Stock Exchange
(HNX: PVS)

Industry: Oil & Gas
Equipment & Services

As of May 25, 2026

Current price: VND 38,000

Target price: VND 47,983

Upside: 26.27%

Recommendation

BUY

EXECUTIVE SUMMARY: STRATEGIC PIONEERING UPON THE SUPER-CYCLE

We initiate coverage on PetroVietnam Technical Services Corporation (HNX: PVS) with a BUY recommendation and a 12-month price target of 47,983. This represents a 26,27% upside from the close price of VND 38,000 as of May 25, 2026. The target price is based on DCF valuation and triangulated using comparable multiples. PetroVietnam Technical Services Corporation is Vietnam's leading provider of technical services, acting as a regional offshore energy platform with operations across Southeast Asia, the Middle East, and Europe. Despite instabilities among the global market, PTSC is still delivering a high performance with several mega projects and strong financial performances, which lays foundation for the future expansion. Our BUY recommendation rests on a thorough financial analysis, further supported by three core investment pillars as under **(Appendix 1)**.

Figure 1: Summary

Source: Team Analysis

RECOMMENDATON	BUY
Valuation Date	25/5/2026
Target Price [VND]	47,983
Current Price [VND]	38,000
Upside [%]	26.27%
Shares outs [mn shares]	511,420
Market cap [VND bn]	19,690
52W high-low [VND]	54,600 - 26,364

Figure 2: Football field valuation projection summary

Source: Team Analysis

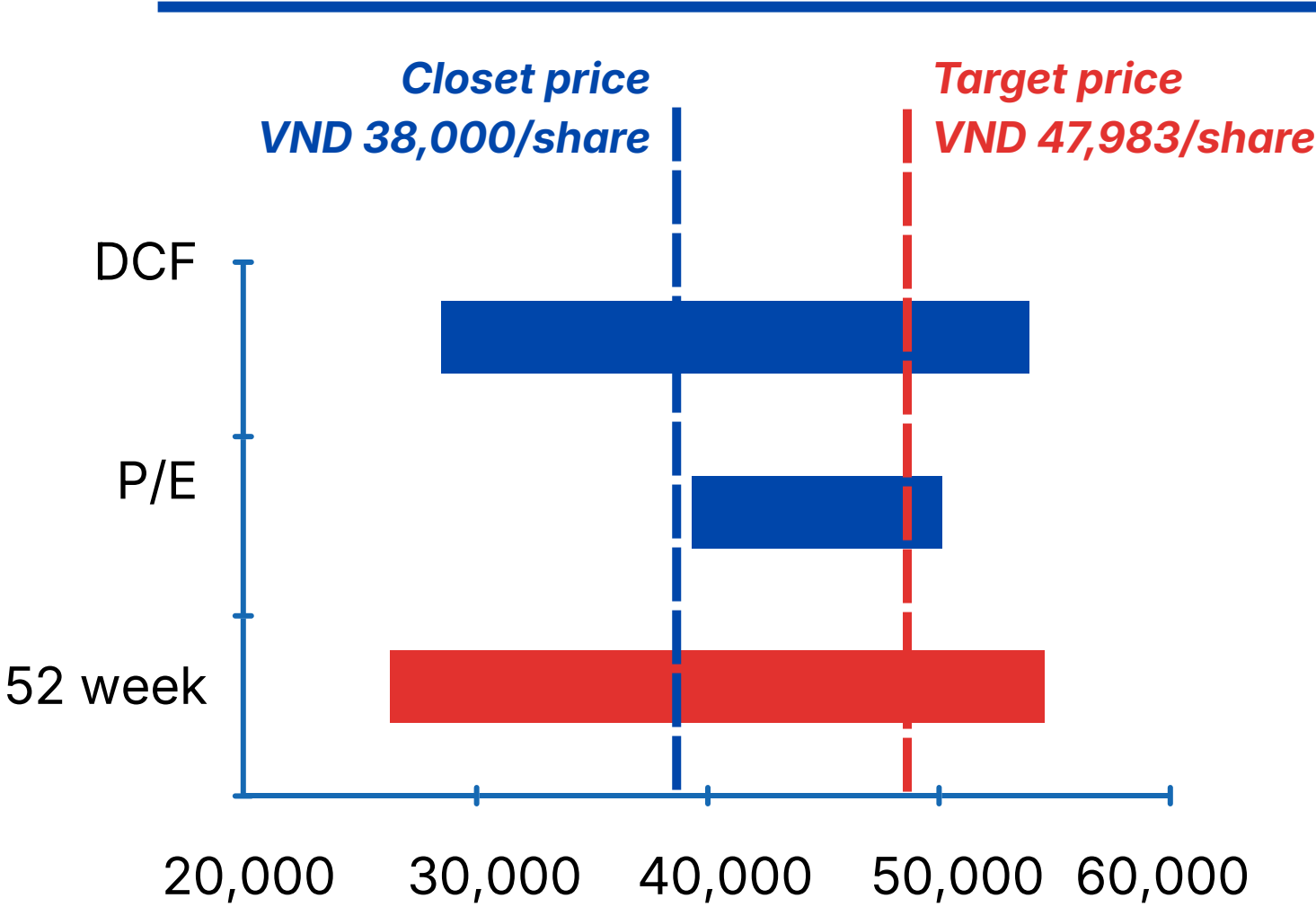
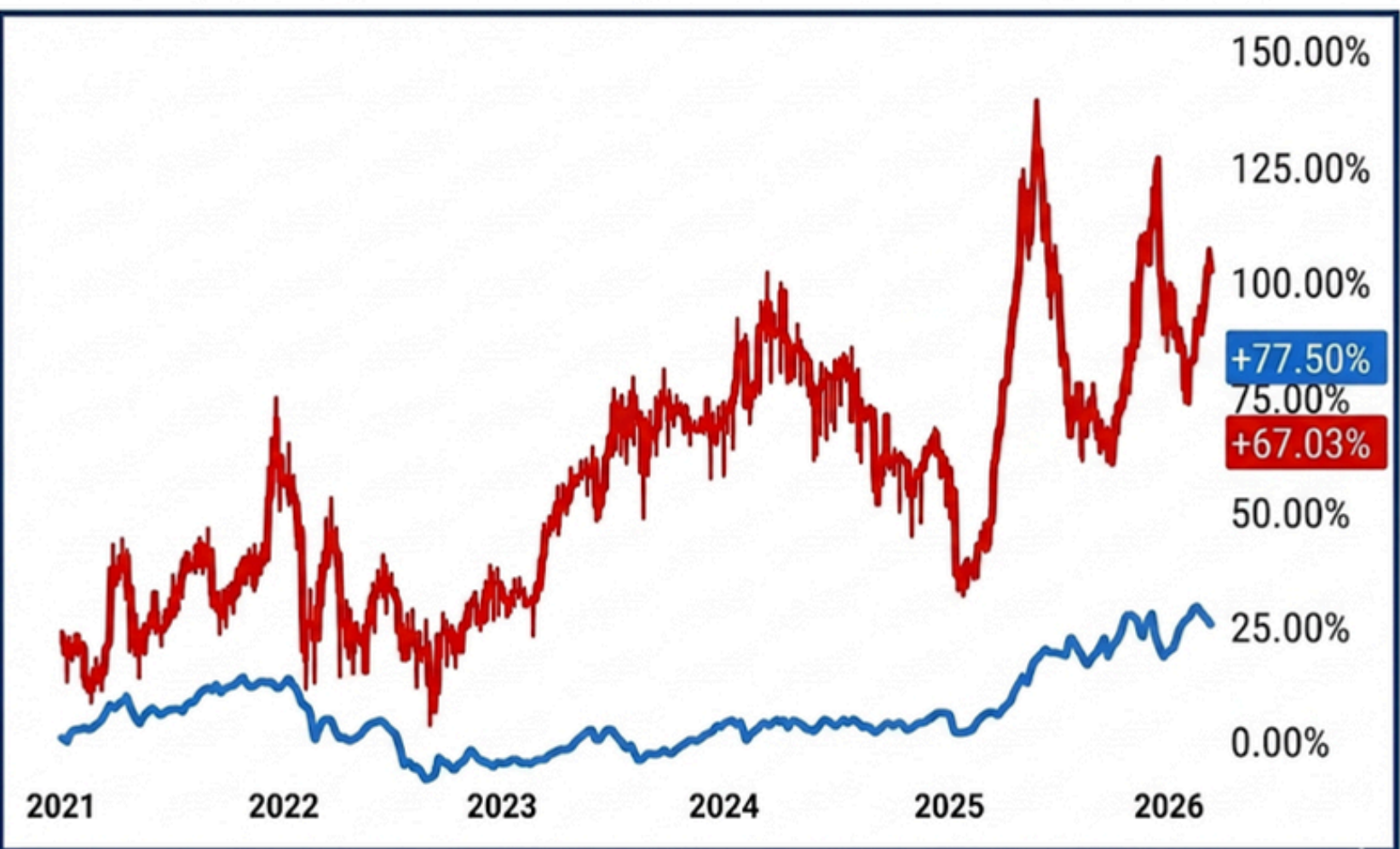


Figure 3: PTSC's change in stock price

Source: Vietstock



MULTI-SEGMENT MOMENTUM AND STRUCTURAL MARGIN EXPANSION

PTSC is the market leader in Vietnam and a growing performer in the international market. PTSC is heading into 2026 with the foundation set from 2024 and 2025 where megaprojects started. We believe that in 2026 onwards, the returns offered to investors will rise close to its 2025 peak **(Figure 3)**, due to **a) M&C peak execution cycle** which promises remarkable revenue growth, **b) FSO/FPSO's high and stable profit** even amidst volatility and **c) Port & Base's ability** to smoothly facilitate megaprojects and regional offshore wind staging.



STRONG FINANCIAL FOUNDATION FOR FUTURE CYCLE-MATCHED EXPANSION

PTSC's significant cash available indicates its financial stabilities and headrooms for future investment. In the context of an incoming super-cycle, this offers PTSC the ability to expand aggressively with megaprojects in all streams. Along with its low D/E ratio, it makes PTSC even more resilient to any economic downturn and allows it to take on any further debt without worrying about financial health. Altogether, this drives PTSC towards a profitable and CAPEX-intensive growth phase, promising future growth.

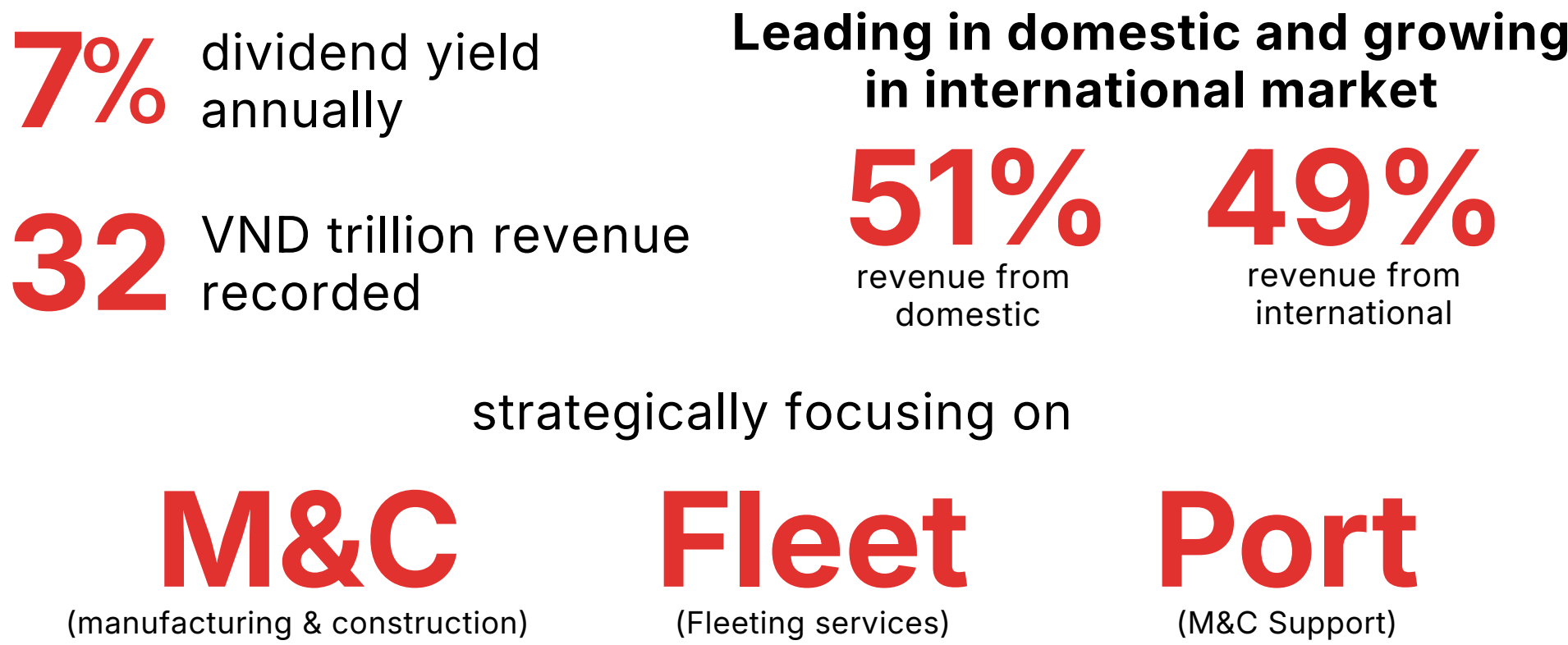


ABILITIES TO CAPTURE THE NEW GROWING SEGMENT - OFFSHORE WIND

Beside its current business lines, PTSC has the opportunities for the offshore wind fabrication market, where the demands for input are significantly growing. With the O&G infrastructure being transferable, PTSC owns a competitive advantage to secure international contracts while maintaining high quality standards, further contributing to its overall profit performance.

Figure 4: PTSC's core values at a glance

Source: Team Analysis



COMPANY OVERVIEW

Figure 5: PVS Shareholder Structure
Source: Company Report

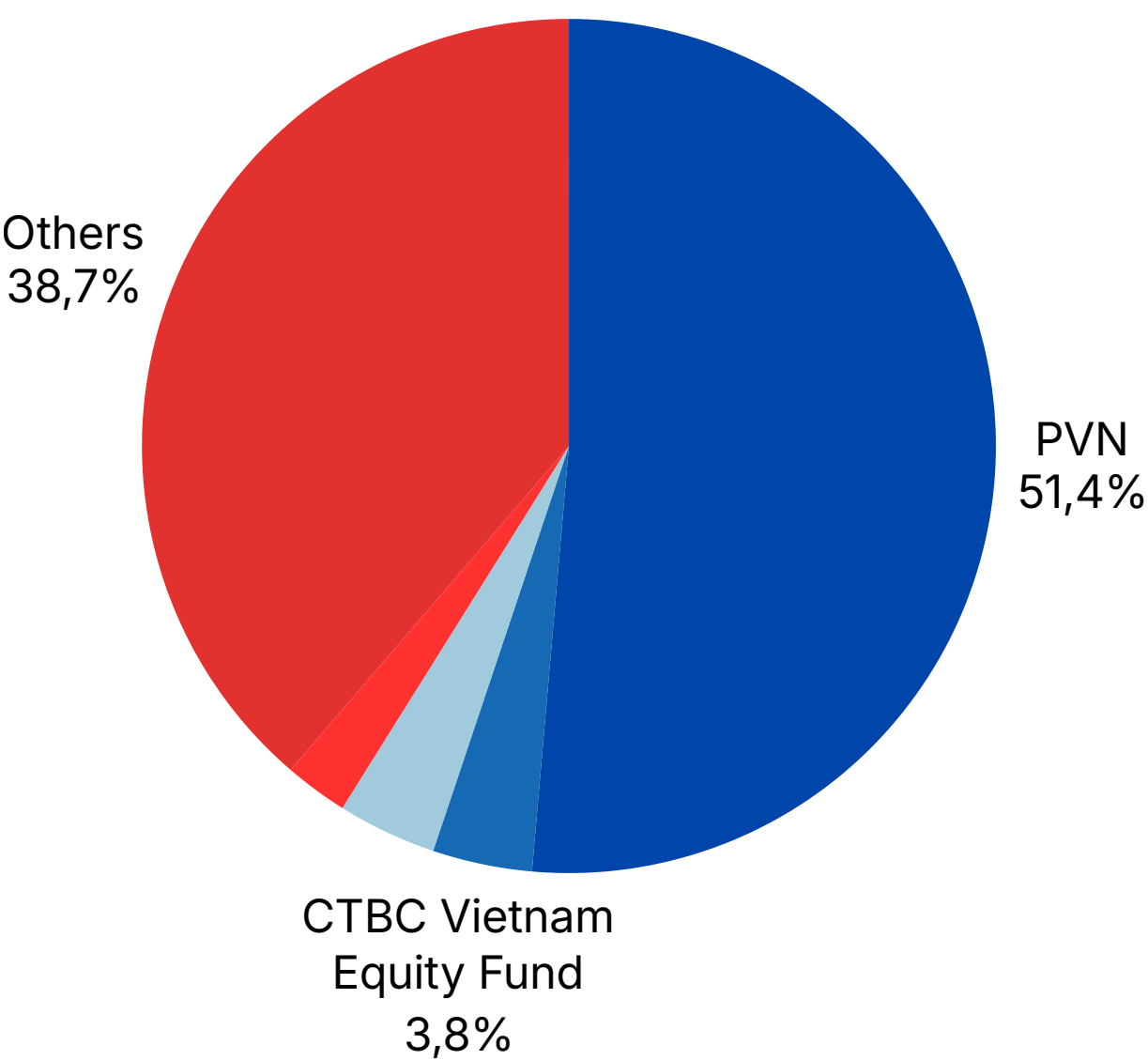


Figure 6: PVS's Domestic vs. International Revenue
Source: Company Report

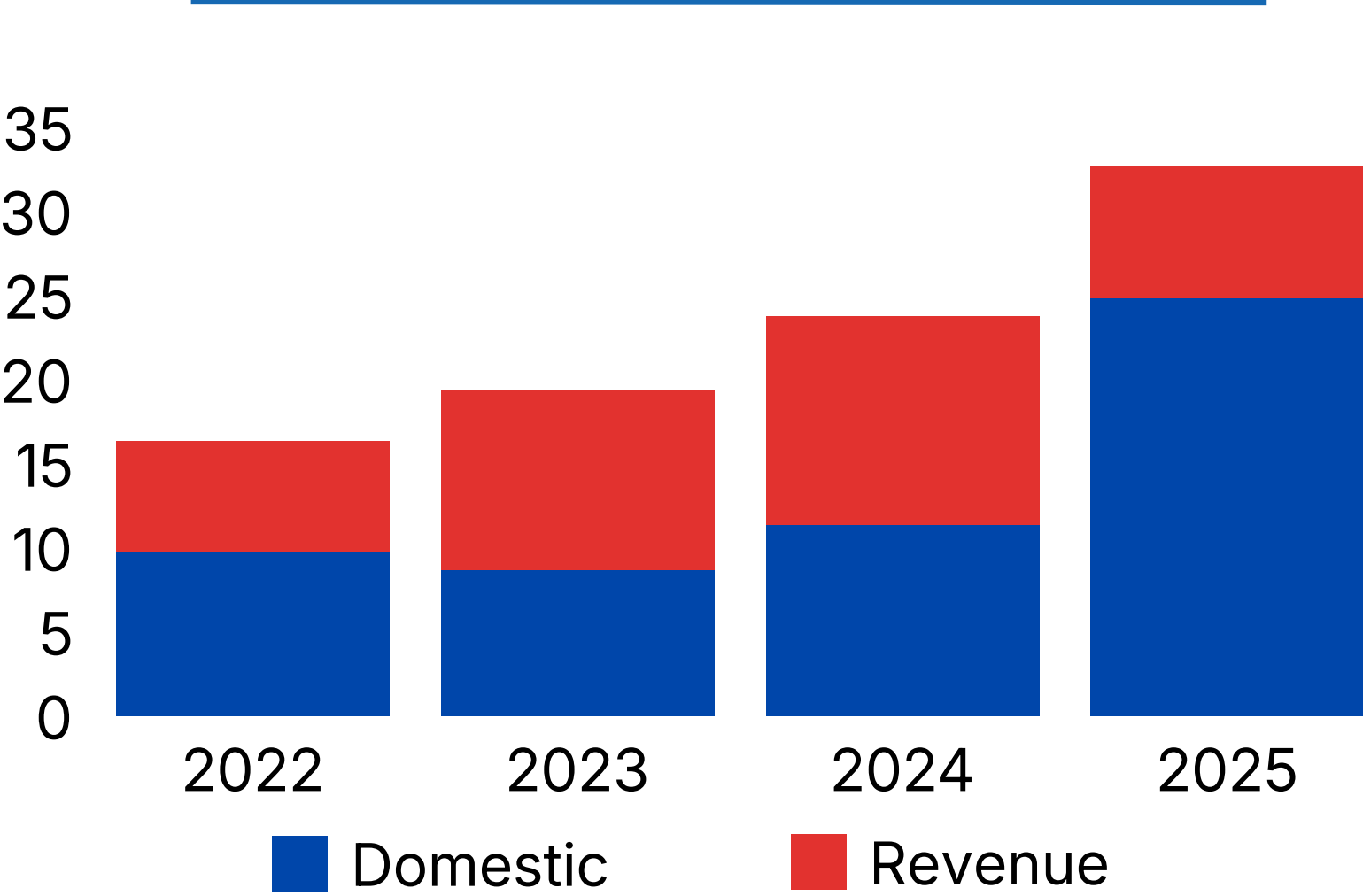


Figure 7: PVS's Three Pillars for Vision to 2050
Source: Company Report



PetroVietnam Technical Services Corporation (HNX: PVS) is Vietnam's leading provider of technical services for the offshore energy industry and a core subsidiary of the Vietnam Oil and Gas Group (PVN), which maintains a 51.38% controlling stake (Figure 5). Established in 1993, PTSC has evolved from a domestic oil and gas (O&G) contractor into a regional offshore energy platform with operations across Southeast Asia, the Middle East, and Europe.

BUSINESS MODEL

Core Services: PTSC maintains a dominant position in Vietnam's upstream offshore energy value chain as the only domestic contractor capable of delivering end-to-end technical solutions, spanning seismic surveys, EPCIC construction, transportation & installation, O&M and decommissioning services (Appendix 1). This diversified structure supports earnings resilience and cash flow stability across commodity cycles (Appendix 12).

Target Market: PTSC pursues a dual-track growth strategy focused on domestic energy security and international ORE expansion (Figure 6). Domestically, PTSC is the prime contractor for national projects including Block B - O Mon and Lac Da Vang. Internationally, PTSC has increasingly integrated into global offshore supply chains, particularly in Taiwan, Singapore and Europe, where demand for offshore wind infrastructure continues to accelerate.

STRATEGIC TRANSITION

For the 2026-2030 period, PTSC is transitioning from a pure engineering contractor toward a hybrid contractor-asset owner model (Figure 7). Alongside its core O&G business, the company is expanding into higher-growth renewable segments through initiatives such as the 2.3 GW Singapore offshore wind export project and Vietnam's first high-voltage subsea cable manufacturing plant. This strategic shift is expected to enhance earnings visibility, improve margin profile and support long-term valuation rerating.

INDUSTRY OVERVIEW

Figure 8: Demands for Oil 2026-2027
Source: OPEC

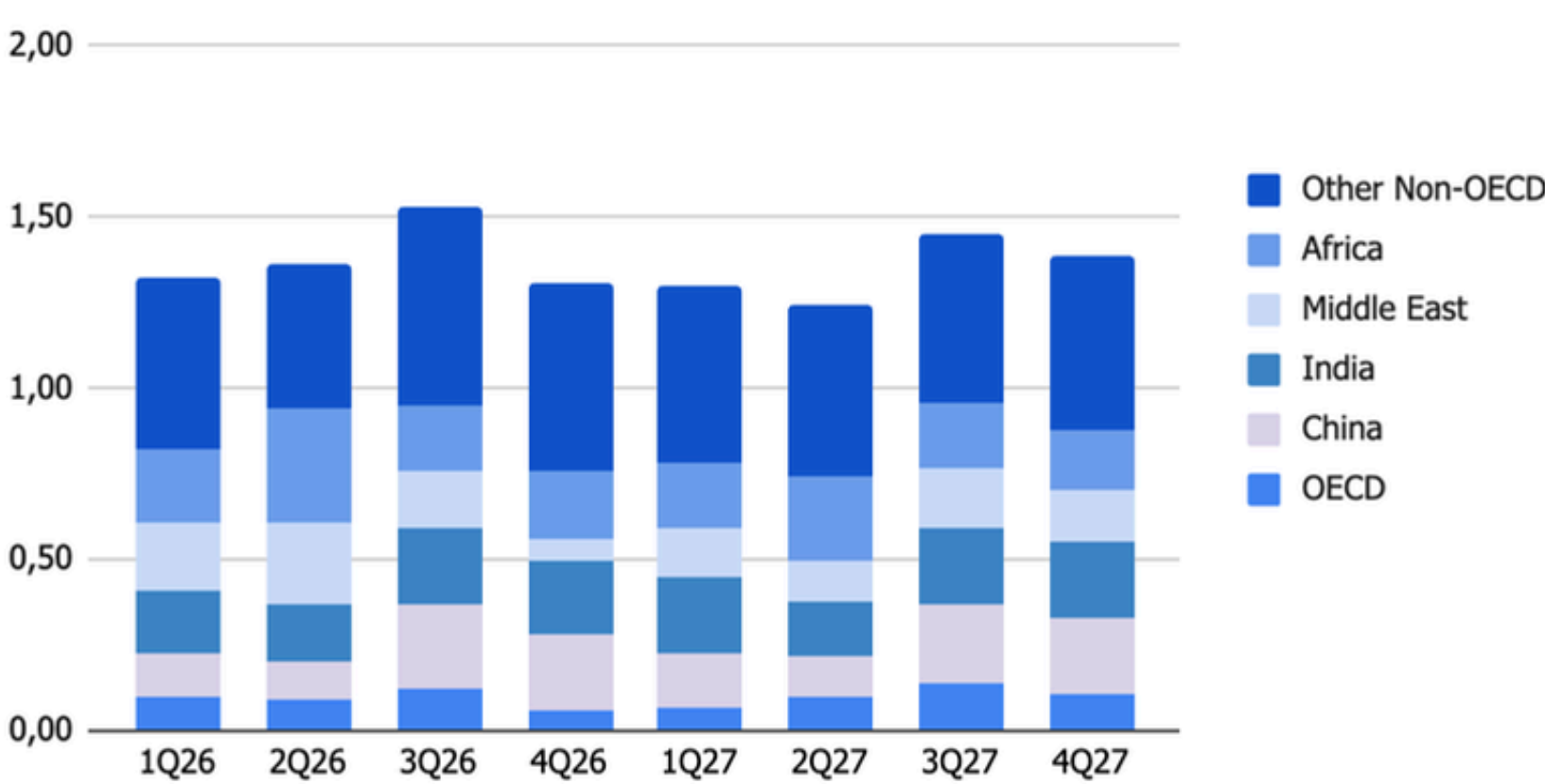
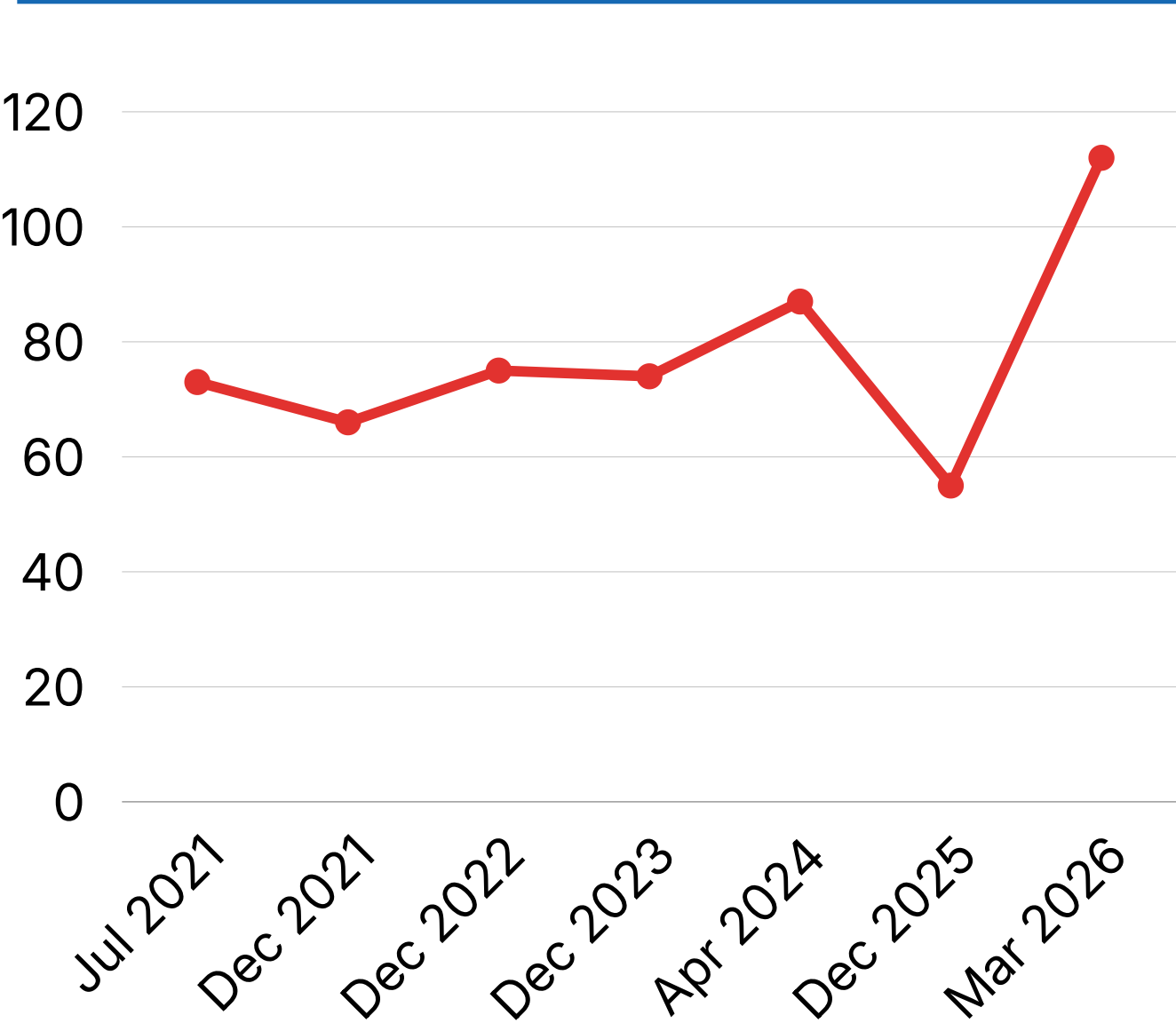


Figure 9: Oil Prices 2021-2026
Source: Goldman Sachs



OVERALL MARKET - POSITIVE

The domestic O&G market is entering a major investment cycle and robust growth after a prolonged period of decline. The recovery of the upstream sector (E&P) is establishing a solid CAPEX growth cycle for the entire 2026-2030 period (Figure 8). PTSC will be the most direct and profound beneficiary of this investment wave as the market leader (Figure 4).

GEO-POLITICAL INSTABILITY'S IMPACT ON BOTH REVENUE AND COSTS PERFORMANCE - NEUTRAL

[a] High price leading to high revenue projection: Due to geo-political instability thus leading to the chokepoints creating temporary systemic risks, the prices of oil have increased to 86 to 95 USD/barrels, which are expected to increase to over 100USD/barrel, 50-75% higher compared to the same period last year, increasing revenue within short-to-mid term (Figure 9, Appendix 11).

[b] Increasing demands due to supply intervention: Domestically, demands for oil increased by 3% YoY, while internationally, countries in Asia with high oil consumption are seeking for substituting supply, hence allowing PTSC to expect further investment in E&P projects within SEA (Figure 10).

[c] Delivery costs increase due to re-routing. The logistics price for delivering oil barrels will increase due to the re-routing of shipping lines. Specifically, the VLCC freight rate will be increased by 15-20% (Appendix 2).

Figure 10: Naptha Oil Supply

Source: SHS Research, Team Analysis

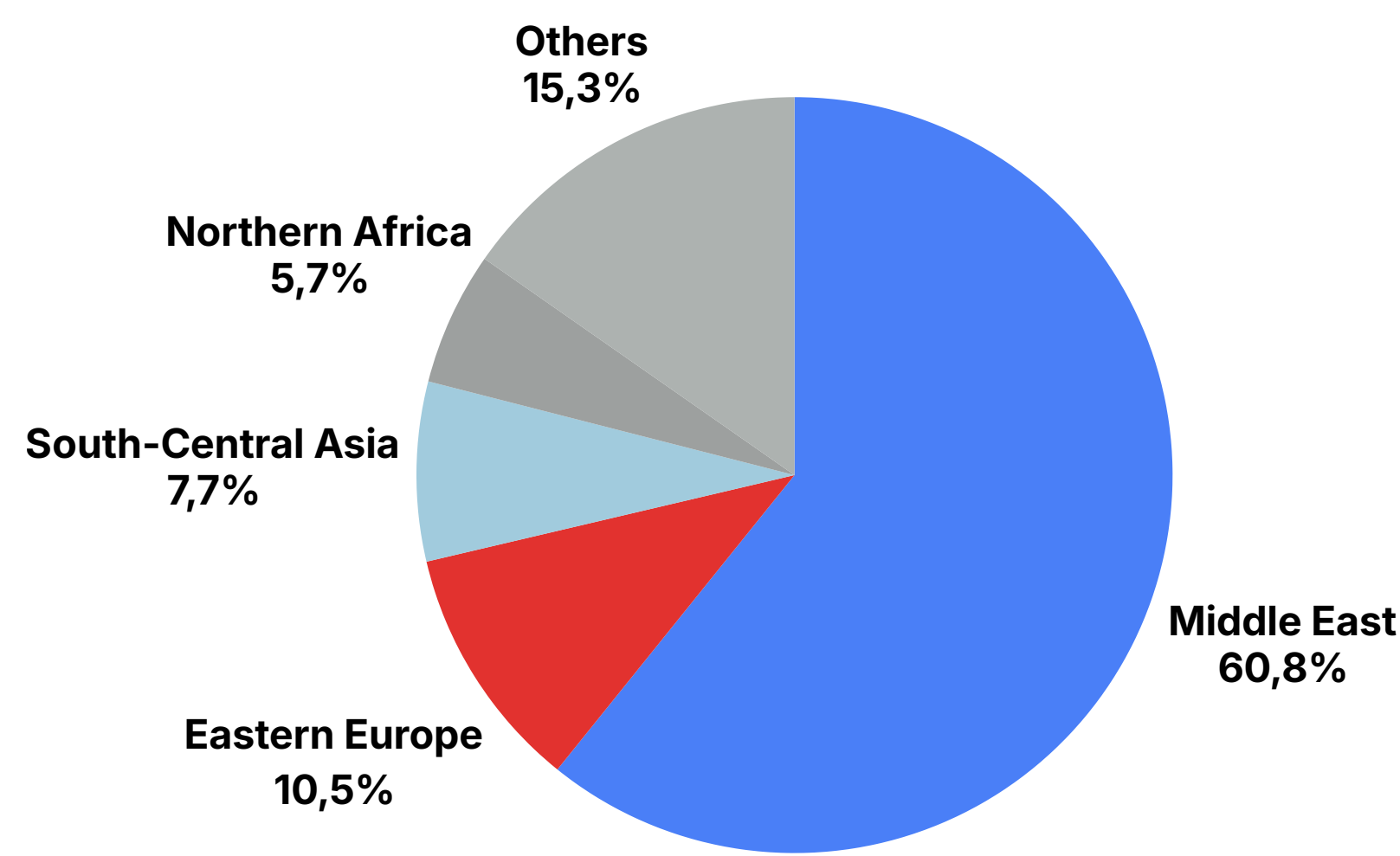
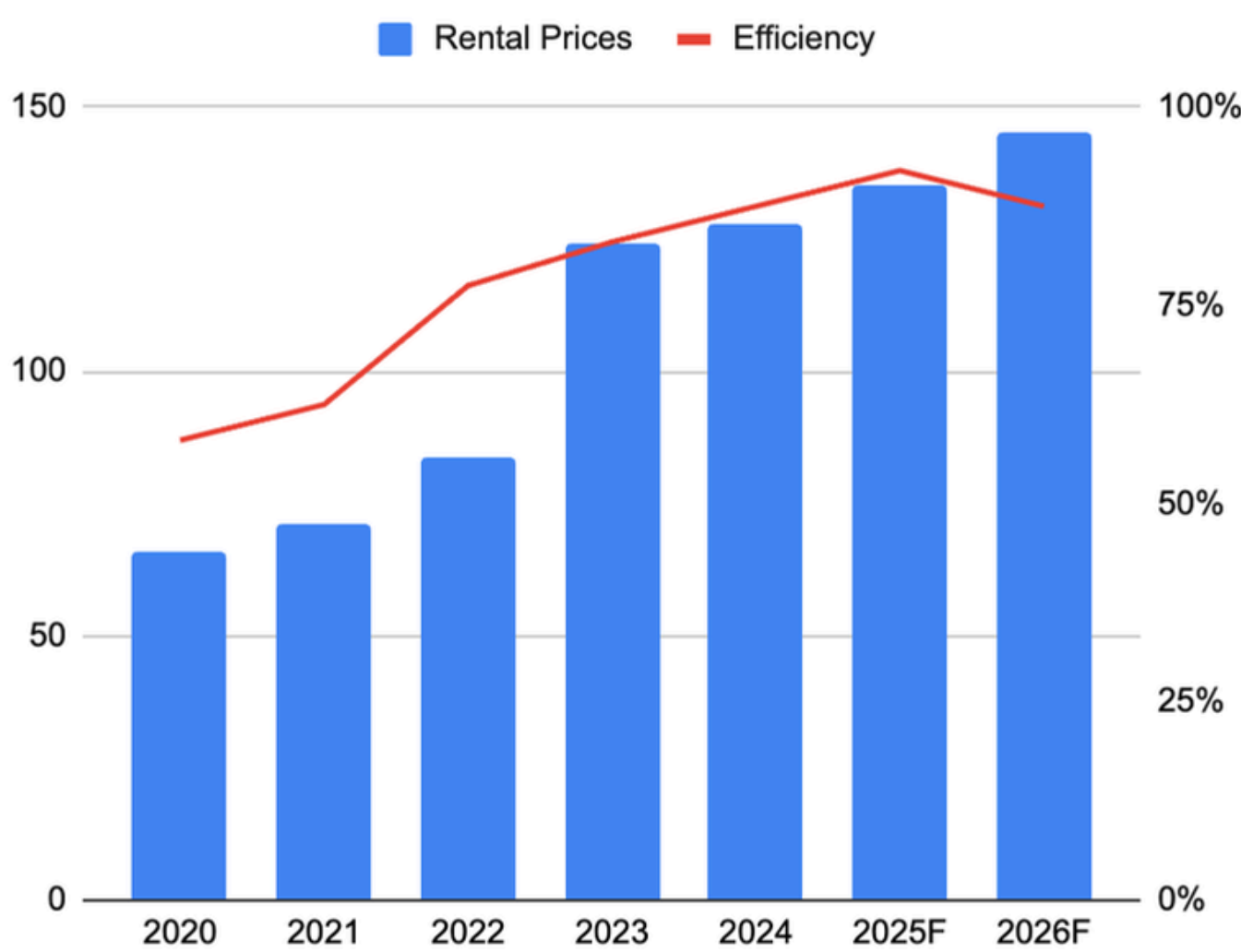


Figure 11: Oil Rig Rental Prices & Efficiency

Source: SHS Research, Team Analysis



UPSTREAM RECOVERY - POSITIVE

After 11 years of reduction in the crude oil production within the 2015-2025 period due to depletion of conventional deposits, crude oil production from 2025 onwards will witness increases due to utilized exploitation (110% of original 2025 plan) (Figure 11).

MIDSTREAM & DOWNSTREAM'S FLUCTUATION - POSITIVE

For the mid-stream sector, SEA jack-up rig charter rates are projected to surge 9-11% annually due to a global supply disturbance. Looking at the downstream sector, diesel has lost its role as the primary driver of crack spreads due to rising export capacity from China, reducing the refining margins from \$16-20/bbl to \$10-18/bbl. However, this pressure is expected to ease when China is expected to halt exports to ensure domestic supply in the current context of geopolitical instability.

DOMESTIC LEGAL ENVIRONMENT OFFERS ABILITIES TO FURTHER CONTROL THE VALUE CHAIN - POSITIVE

Legality reforms create opportunities for PTSC to grow significantly. Such new legalities protect PTSC from international investors' competition in the domestic market. It also grants PTSC the right to be the main contractor, thus enhancing their capabilities to expand to other high-tech fields like wind energy, CCS infrastructure and hydrogen (Figure 12).

Figure 12: Legality Reframe Summary

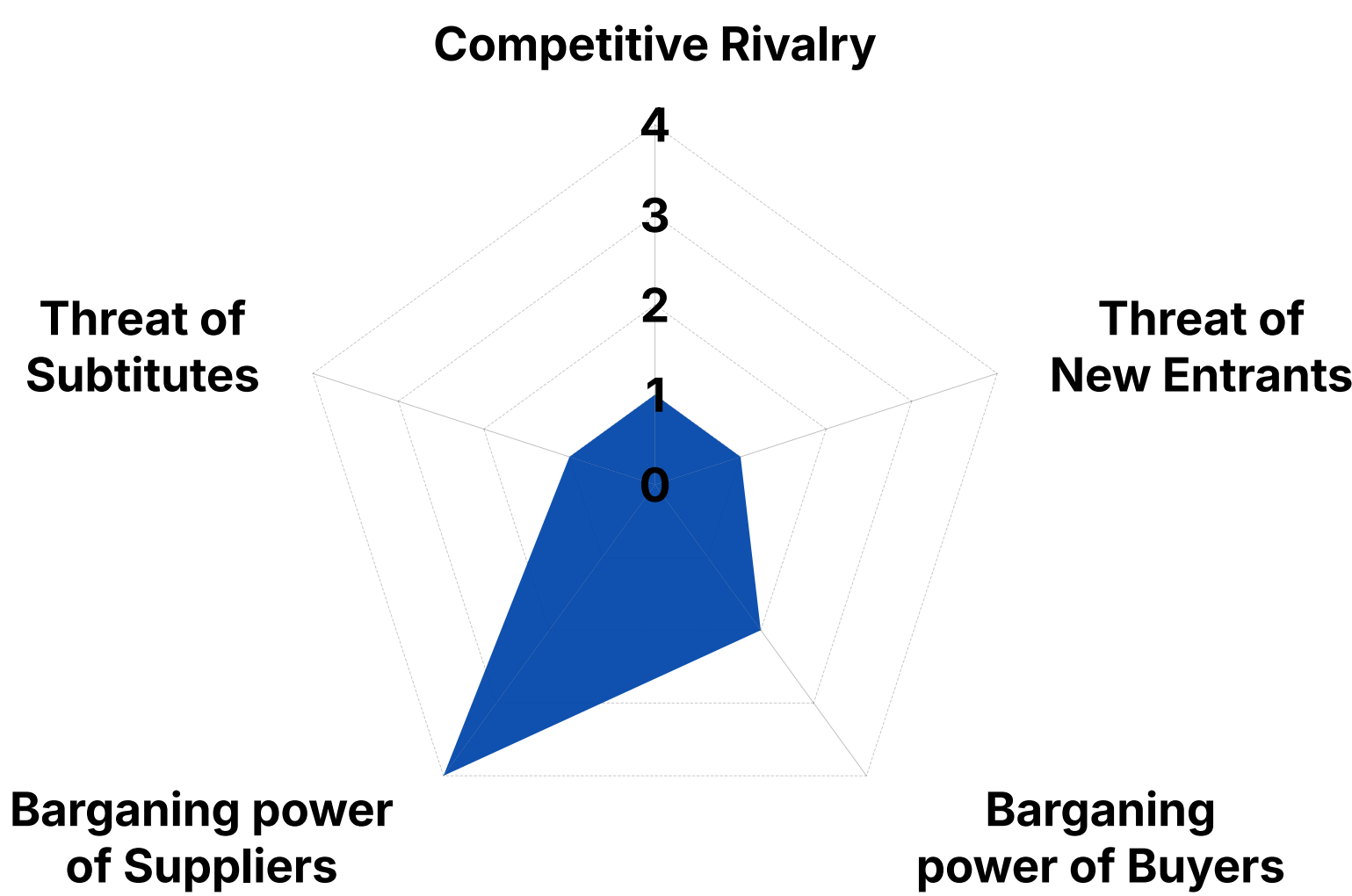
Source: Team Analysis

RESOLUTION 70-NQ/TW	RESOLUTION 66.6/2025/NQ-CP	AMENDMENTS TO 2022 LAW
Reinforcing Gas & Oil's position	Empowers PVN in capital threshold	Reduce international competition & clear procedures

COMPETITIVE POSITIONING

Figure 13: PTSC's 5 Porter Forces

Source: Team Analysis



PTSC'S DOMINANT POSITION IN THE O&G UPSTREAM SEGMENT

As a key subsidiary within the PetroVietnam ecosystem, PTSC enjoys a strong competitive position (Figure 13) in the upstream segment of the O&G value chain, serving as a core contractor for numerous energy projects under PetroVietnam. Because of oligopoly market, PTSC faces no threats from substitutes, buyers, or new entrants. However, it experiences supplier pressure due to high demand for EPC/EPCI materials and contracts (Appendix 6).

OPPORTUNITIES IN INTERNATIONAL OSW MARKET

Vietnam's fourth rank coastline (Figure 14) and improving maritime connectivity enhance PTSC's competitiveness in the international offshore wind market. Supported by extensive coastal infrastructure and stronger integration into regional shipping networks (Figure 15), PTSC's Vung Tau fabrication base benefits from direct access to deep-water ports and international maritime routes, strengthening its role within global offshore wind supply chains.

Figure 14: Length of coastline

Source: Team Analysis, statbase

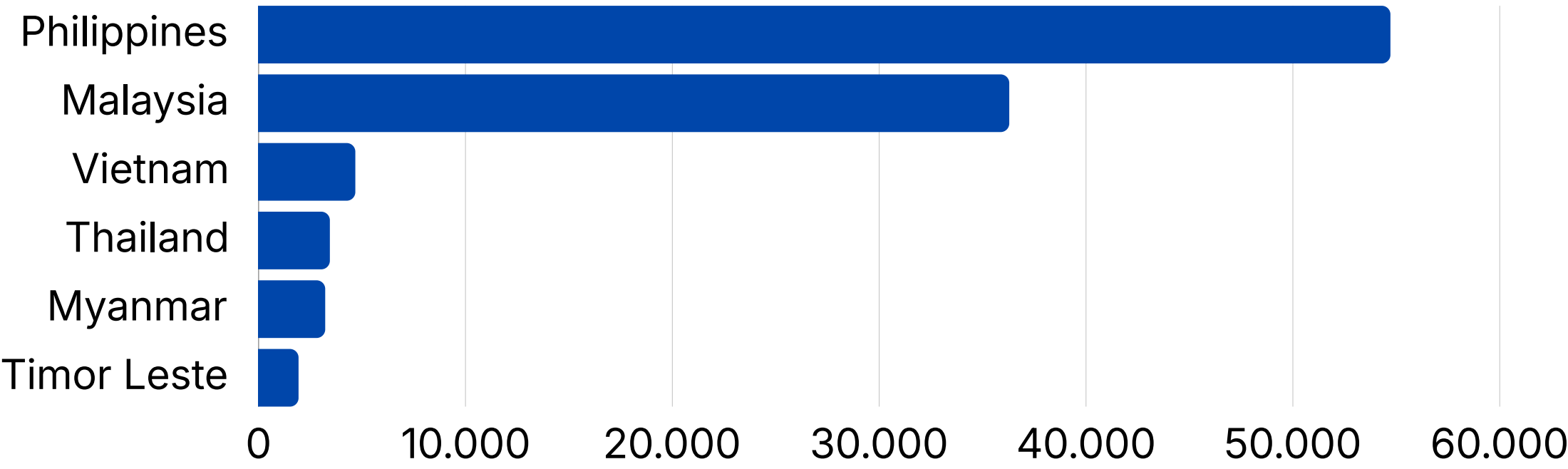
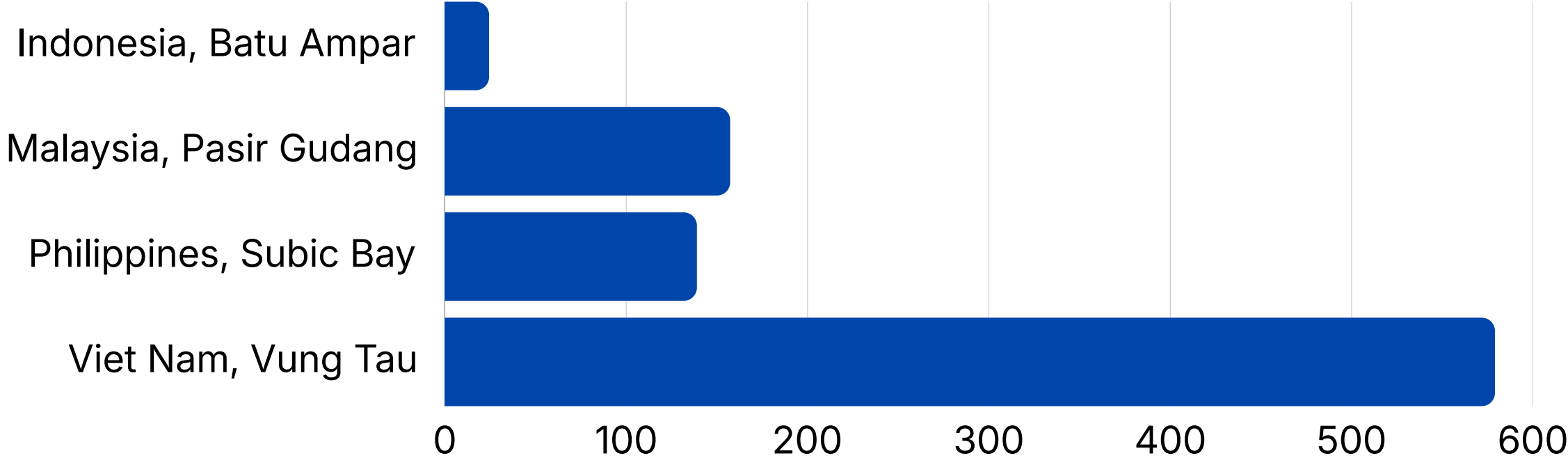


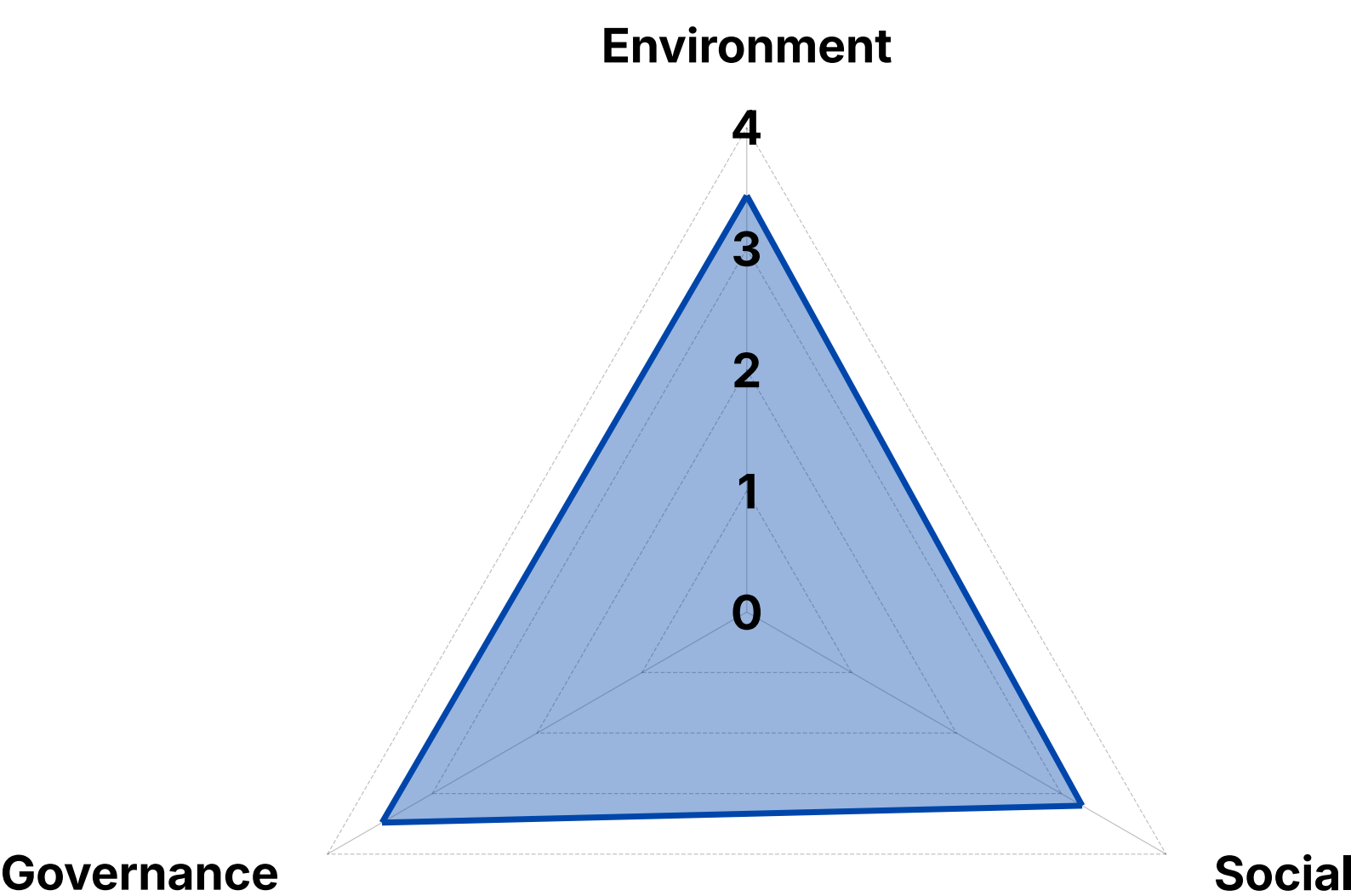
Figure 15: Port Liner Shipping Connectivity Index

Source: Team Analysis, UN trade & development



ENVIRONMENTAL, SOCIAL AND GOVERNANCE

Figure 16: Environment, Social and Governance
Source: Company Report, Team Analysis



[E] ENVIRONMENT PILLAR

Based on MSCI's ESG Framework, we rate the Environmental pillar of PVS 3.44/4.0 (**Appendix 7**). PTSC's environmental pillar demonstrates a solid foundation with strong compliance to MSCI standards. However, the company remains at a transitional stage, as several advanced environmental management practices-particularly circular economy implementation, biodiversity management, and upstream resource optimization-have yet to be fully executed.

[S] SOCIAL PILLAR

Based on MSCI's ESG Framework, we rate the Social pillar of PVS at 3.2/4.0 (**Appendix 7**). This is driven by a massive scale of 25.52 million safe working hours achieved in 2024, which underscores strict safety discipline in a high-risk industry, while employee retention is sustained through performance-linked compensation and systematic training programs. Notably, despite a male-dominated offshore working environment (**Figure 17**), the company consistently ensures top-tier welfare and comprehensive care for its entire workforce. Beyond its workforce, PTSC strengthens its social license to operate through robust community investments, which include a dedicated "Trust" scholarship fund for engineering students alongside major contributions to regional education and healthcare.

[G] GOVERNANCE PILLAR

We evaluate that PTSC scores 3.38/4.0 based on CFA Institute Corporate Governance (**Appendix 7**) due to (1) Exemplary minority shareholder protection and disciplined capital allocation are directly demonstrated through active management engagement at the General Meeting of Shareholders and a commitment to stable returns via consistent stock dividends (at 100:7 ratio), which collectively optimize investor trust. (**Figure 18**) and (2) While information transparency is sustained by excellent disclosures of audited financials on the HNX, executive compensation remains strictly bound by state regulatory frameworks due to PVN's dominant 51.38% ownership stake, which is highly typical of major state-backed enterprises.

ESG RISK & OPPORTUNITY

Although PTSC's core oil and gas business faces structural fossil fuel decline and inherent offshore ESG risks, the company actively addresses these transition exposures through strict Board-level strategic oversight. This risk is heavily mitigated by PTSC's clear leadership in offshore renewable energy, which is validated by securing over USD 1.5 billion in international wind project contracts across Europe and Asia-Pacific. These renewable milestones directly support PVN's Net-Zero by 2050 target, which positions the global energy transition as a long-term business opportunity rather than a regulatory threat (**Figure 19**).

Figure 17: PVS gender structure: male-dominated
Source: Company Report, Team Analysis

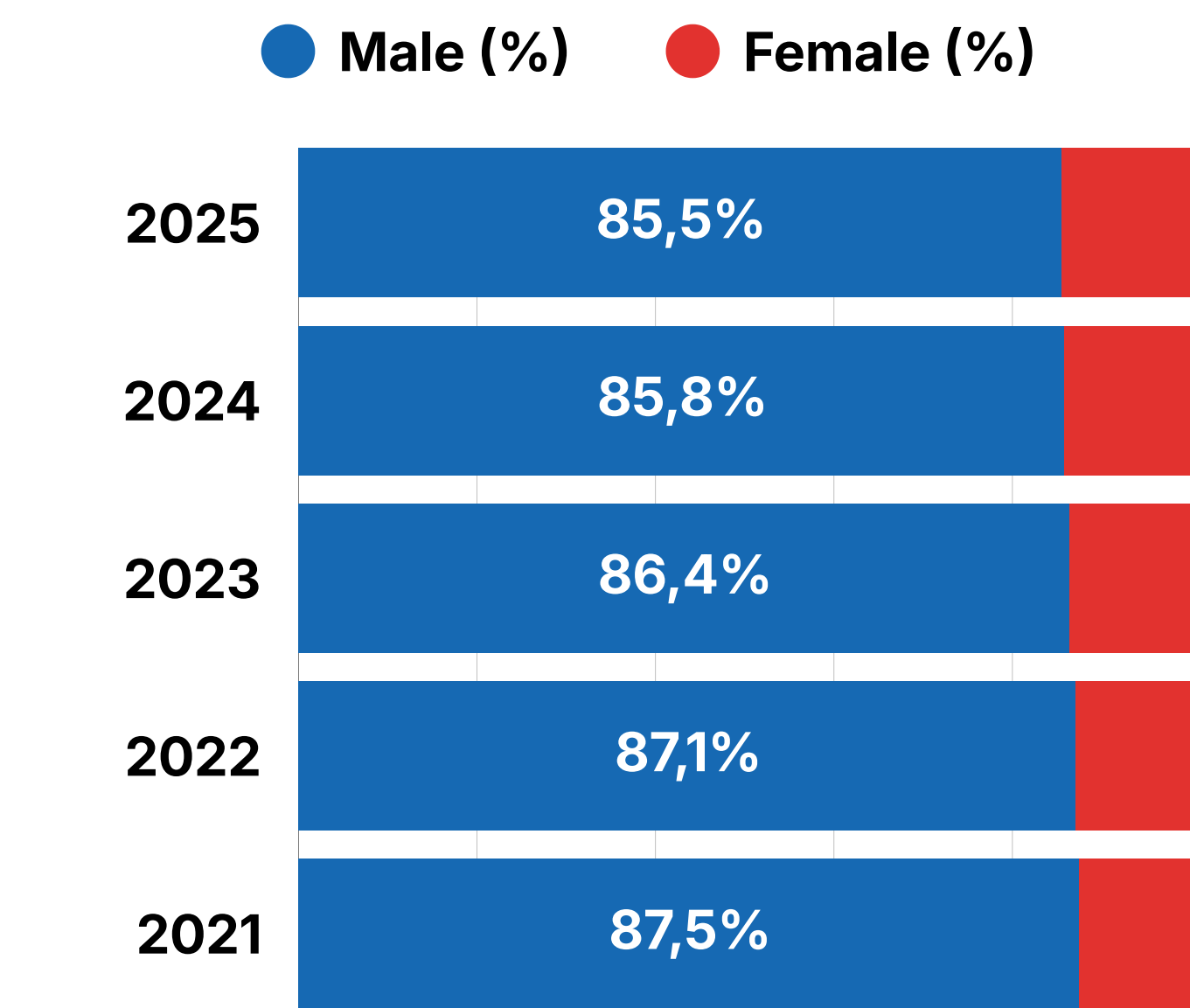


Figure 18: Corporate Governance Summary
Source: Company Report, Team Analysis

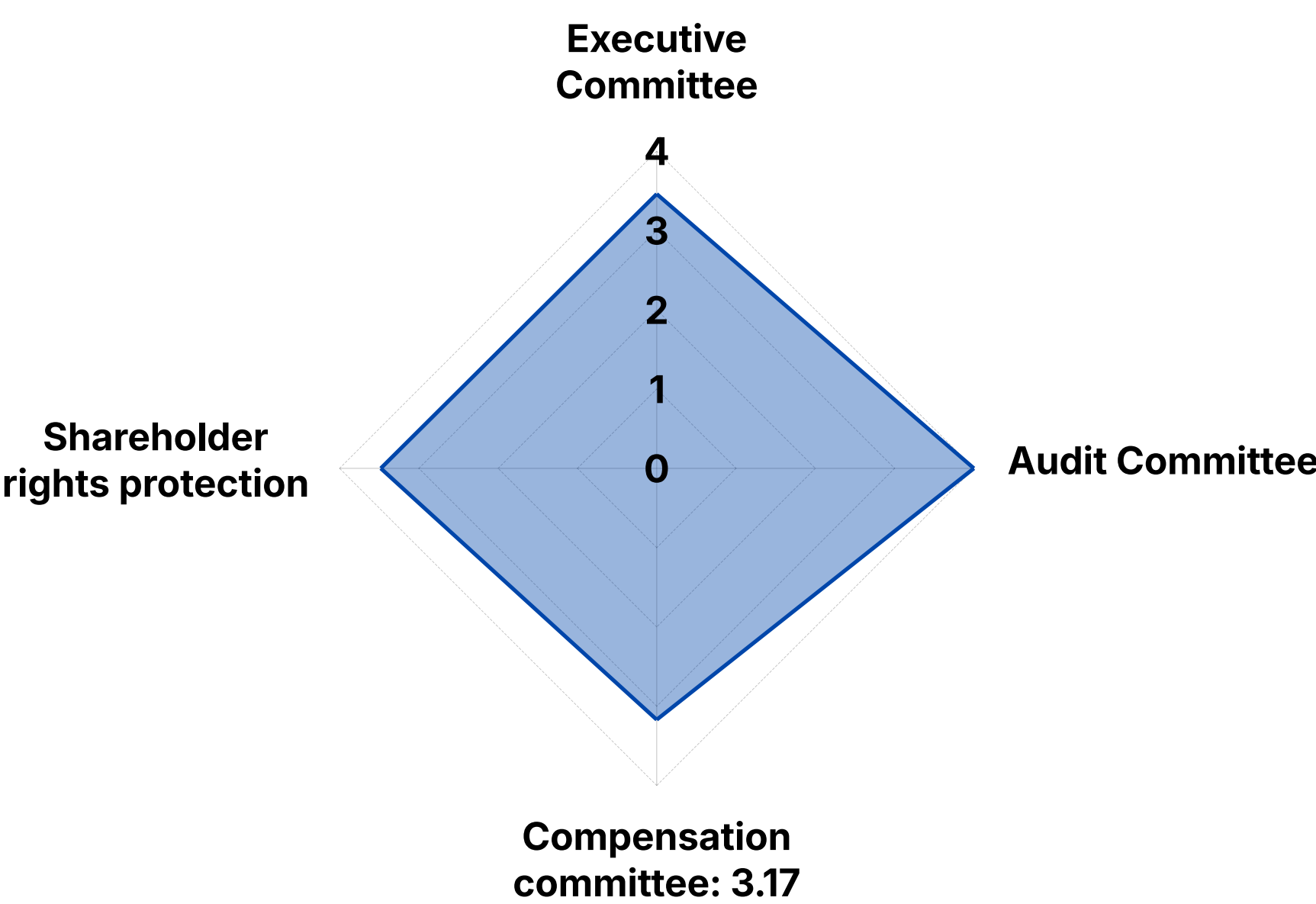


Figure 19: Oil & Gas Industry ESG Targets by 2050
Source: Company Report, Team Analysis

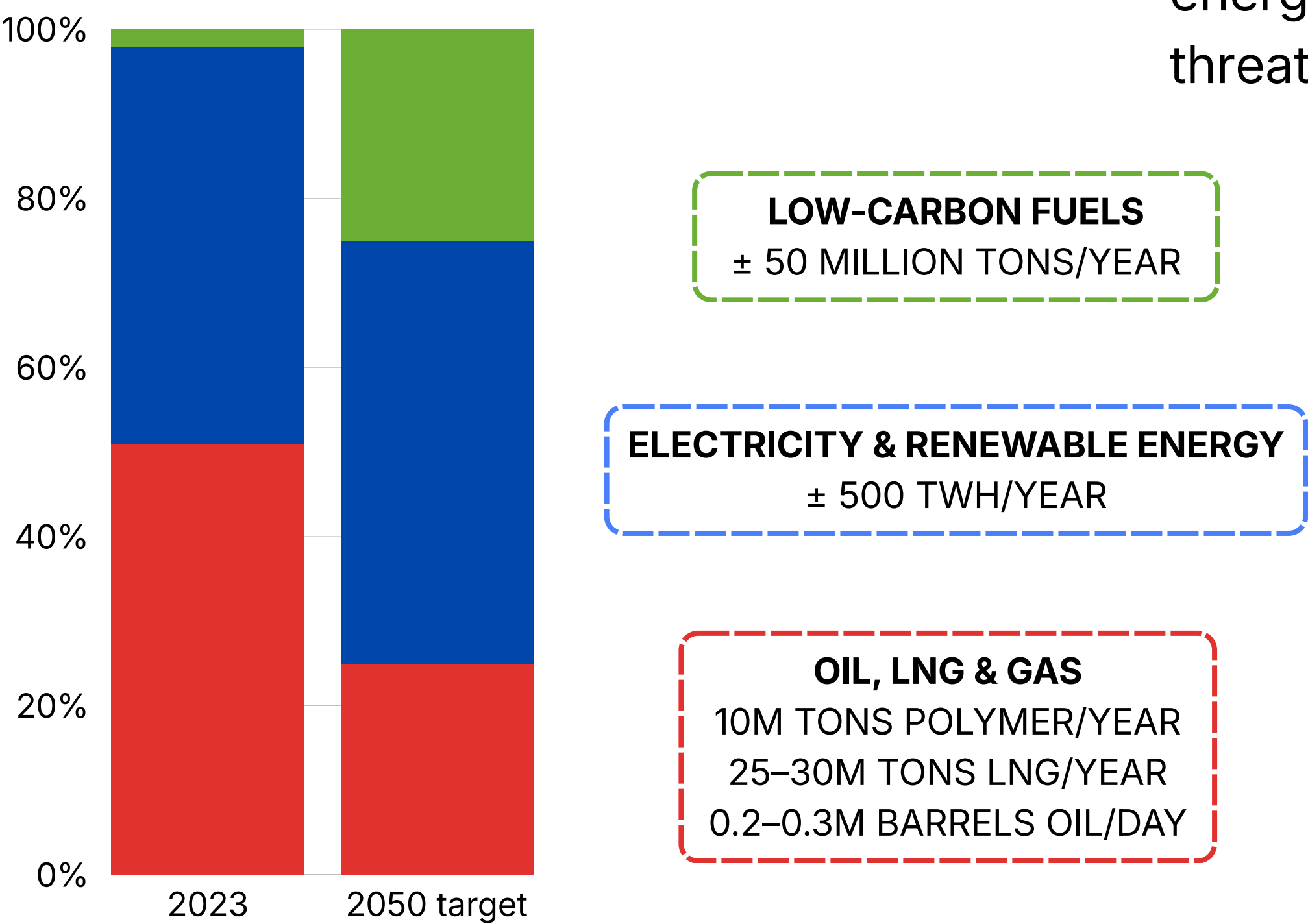


Figure 20: UN SDGs Met by PVS

Source: Company Report, , UN Sustainable Development Goals



INVESTMENT SUMMARY

Figure 21: Vietnam Offshore Wind Capacity Target (GW, PDP8 Adjusted)
Source: Vietcap

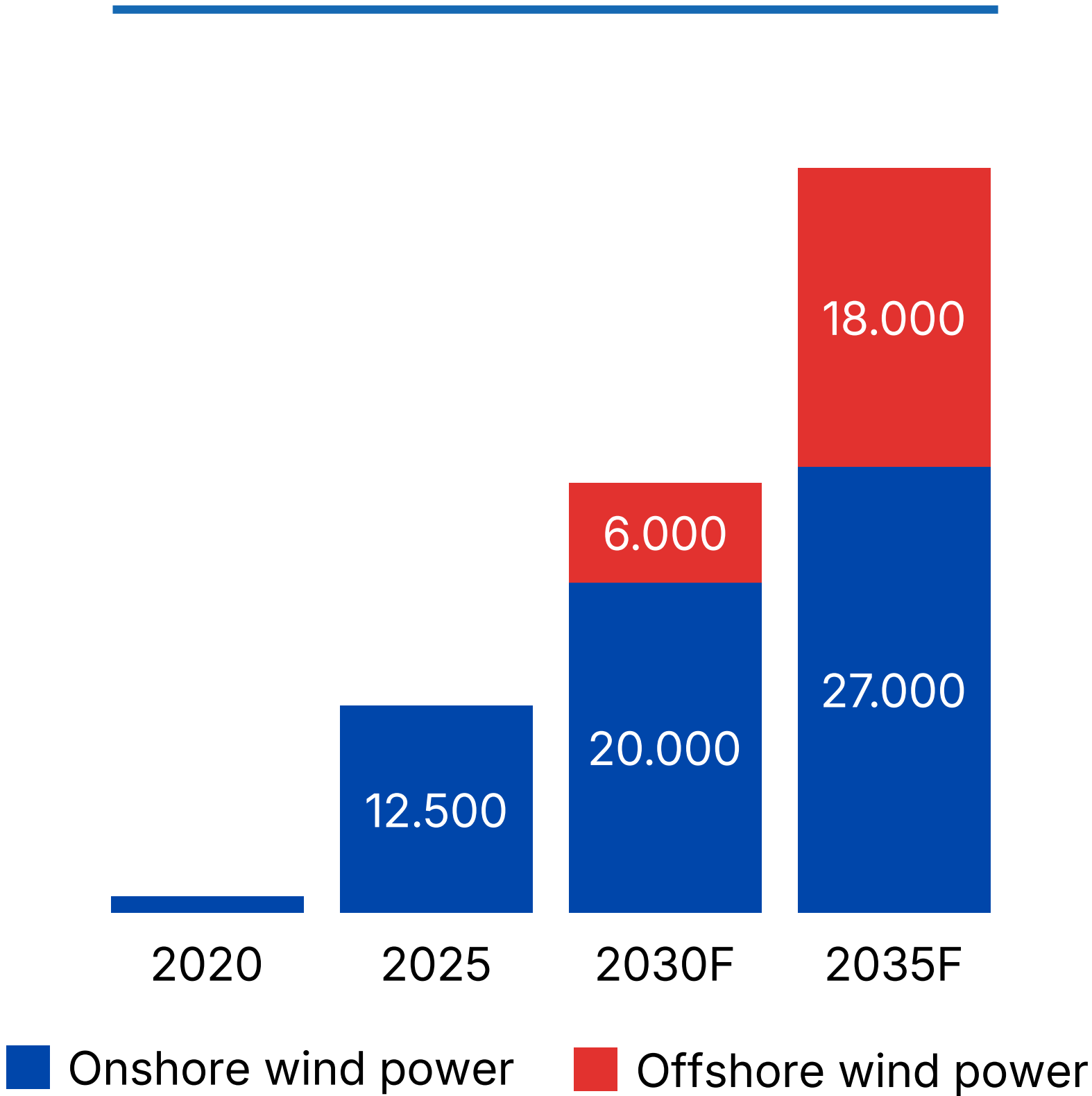


Figure 22: Revenue & COGS & Profitability Growth 2020-2025 and 2026E-2030E
Source: Team Analysis

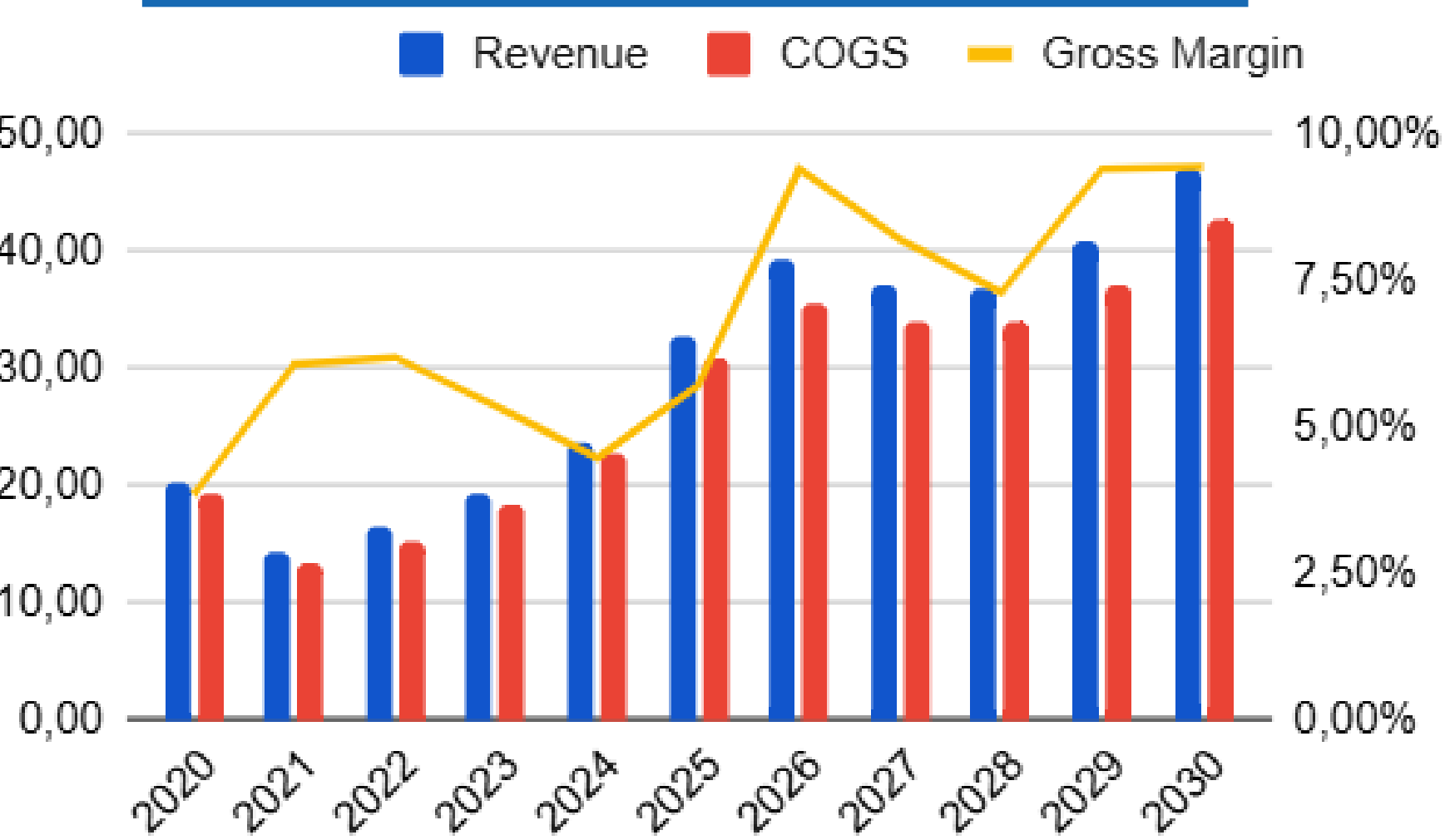


Figure 23: Profitability of PTSC business lines 2020 - 2025 and 2026E-2030E
Source: Team Analysis

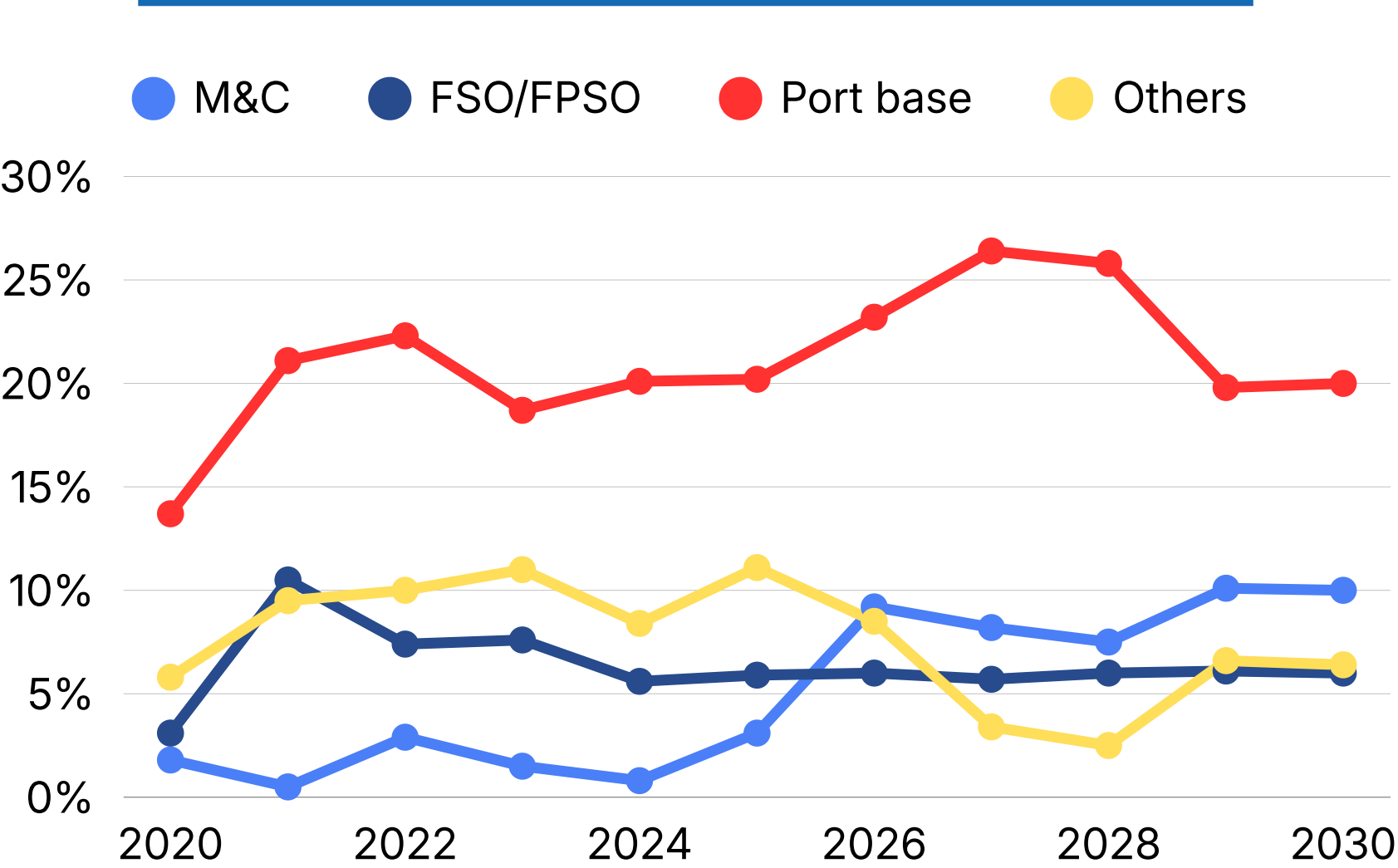
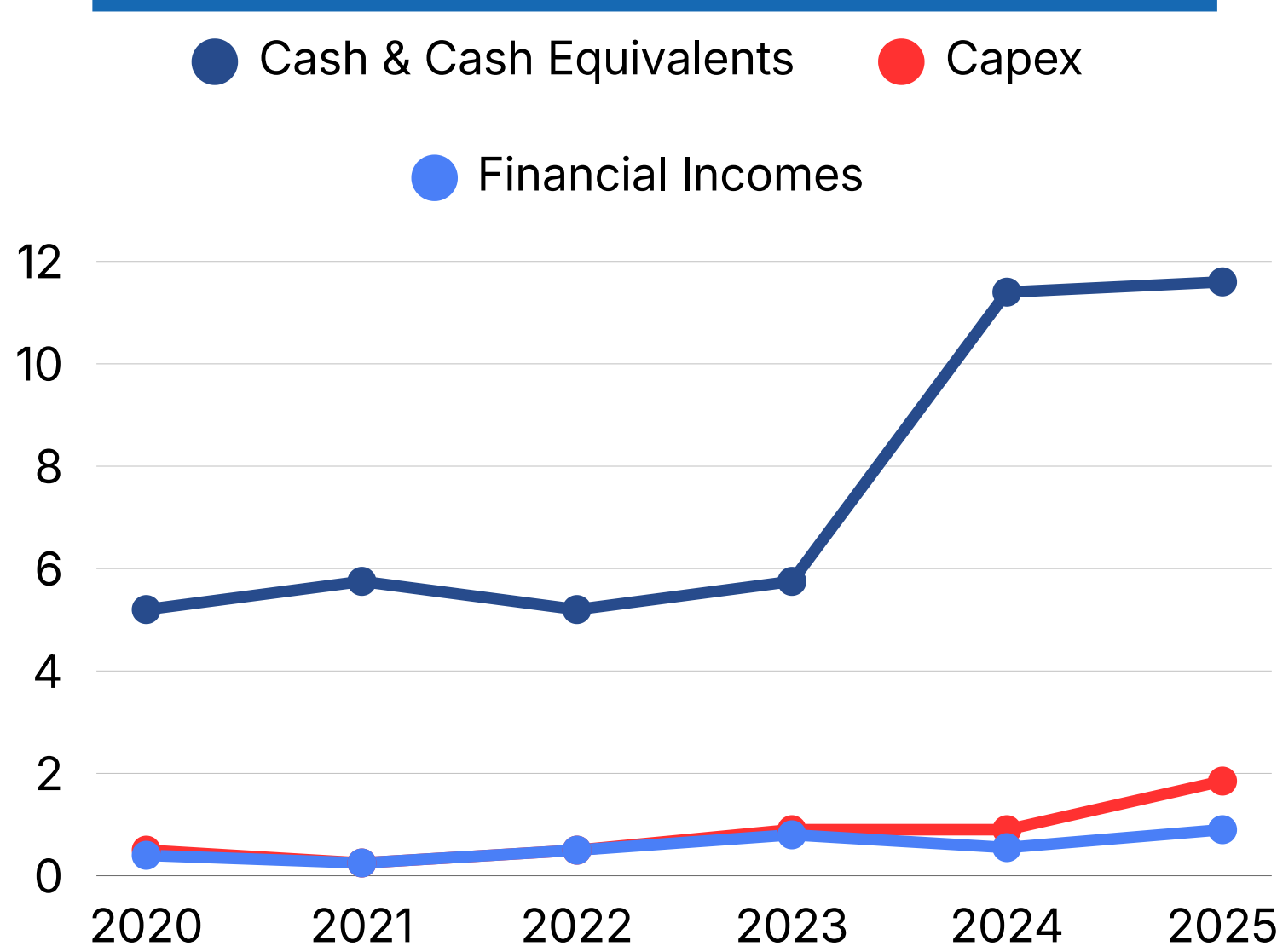


Figure 24: Past CAPEX demands data & cash reserved
Source: Team Analysis



THEESIS 1: MULTI-SEGMENT MOMENTUM AND STRUCTURAL MARGIN EXPANSION

[A] **M&C - Harvesting a generational EPCI super-cycle:** PVS is entering a peak execution cycle supported by domestic upstream projects (**Appendix 9**), while PDP8 creates a long-term growth runway for its fabrication and offshore construction capabilities (**Figure 21**). Together, these drivers are expected to sustain strong M&C growth through FY2028 (**Appendix 13**).

[B] **FSO/FPSO - High-margin defensive anchor:** The FSO/FPSO fleet provides stable, high-margin earnings through long-term contracts that protect earnings from oil price volatility (**Appendix 13**). The scheduled deployment of two new units is expected to increase the recurring profit base by approximately 30% (**Appendix 8**).

[C] **Port & Base - High-leverage strategic gateway:** Supported by its unique heavy-fabrication handling capabilities (**Appendix 10**), the segment is evolving into a key logistics hub serving domestic megaprojects and regional offshore wind staging.

THEESIS 2: STRONG FINANCIAL FOUNDATION FOR FUTURE CYCLE-MATCHED EXPANSION

[A] **Strong basis funding future investment within new cycles:** PVS possesses highly flexible capital reallocation capabilities with high cash available, providing funds for CAPEX demands increase in 2027, where projects are expected to be finished. Also, significant cash offers rooms for increases in financial incomes. (**Appendix 9**)

[B] **Low Financial Leverage ensures high resilience and debt capacity:** Despite concurrently executing massive projects, PVS's Debt-to-Equity (D/E) ratio are extremely low, (**Figure 28**) vastly outperforming the industry average, offering PTSC both credit headroom for future expansion and low exposure to debt-related risks.

[C] **Profit Expansion due to developing core business's performance:** All segments are expected to rise significantly in profitability, due to high value contracts in M&C, provision reversal from Sao Vang - Dai Nguyet projects and steady cash flows (**Figure 22, Figure 23**).

THEESIS 3: ABILITIES TO CAPTURE THE NEW GROWING SEGMENT - OFFSHORE WIND

[A] **Accelerating APAC offshore wind deployment drives surging component demand:** APAC offshore wind installations are projected to grow at a 26.9% CAGR (**Appendix 12**), driving strong demand for offshore substation and foundation components. Supply chain constraints and supplier diversification efforts are expected to create significant opportunities for regional fabricators.

[B] **Favorable policies enhance market visibility:** Easing local content requirements in key markets and Vietnam's PDP8 roadmap (**Figure 21**) improve long-term visibility for offshore wind fabrication demand. These policy tailwinds should support sustained growth opportunities for the regional supply chain.

[C] **PTSC advantageous position to capture offshore wind opportunities:** Leveraging transferable O&G expertise, large-scale fabrication infrastructure (**Appendix 10**), competitive labor costs (**Appendix 14**) and a proven execution track record (**Appendix 15**), the company is well positioned to secure international contracts while maintaining high quality standards.

Figure 25: Financial Analysis
Source: Team Analysis, PTSC Annual Report

	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Capex Growth %		-49,66%	97,28%	80,39%	-1,54%	110,35%	-34,72%	8,68%	10,99%	-9,00%	2,97%
Revenue growth %		-29,34%	14,77%	18,37%	22,69%	37,65%	20,29%	-5,69%	-1,14%	11,61%	15,24%
Gross Margin	3,86%	6,08%	6,19%	5,36%	4,48%	5,72%	9,42%	8,21%	7,31%	9,42%	9,46%
EBITDA Margin	1,99%	3,91%	3,53%	2,48%	1,41%	3,85%	7,93%	7,00%	6,49%	9,05%	9,49%
Current Ratio	1,69	1,77	1,79	1,8	1,7	1,59					
Quick Ratio	1,11	1,2	1,12	1,1	1,26	1,11					
ROE	5,51%	5,95%	8,05%	7,83%	8,51%	11,83%					
ROA	2,70%	3,02%	4,05%	4,01%	3,68%	4,95%					
Debt/Equity	0,51	0,49	0,5	0,49	0,57	0,58					

Figure 26: Gross & EBITDA Margin
Source: Team Analysis, PTSC Annual Report

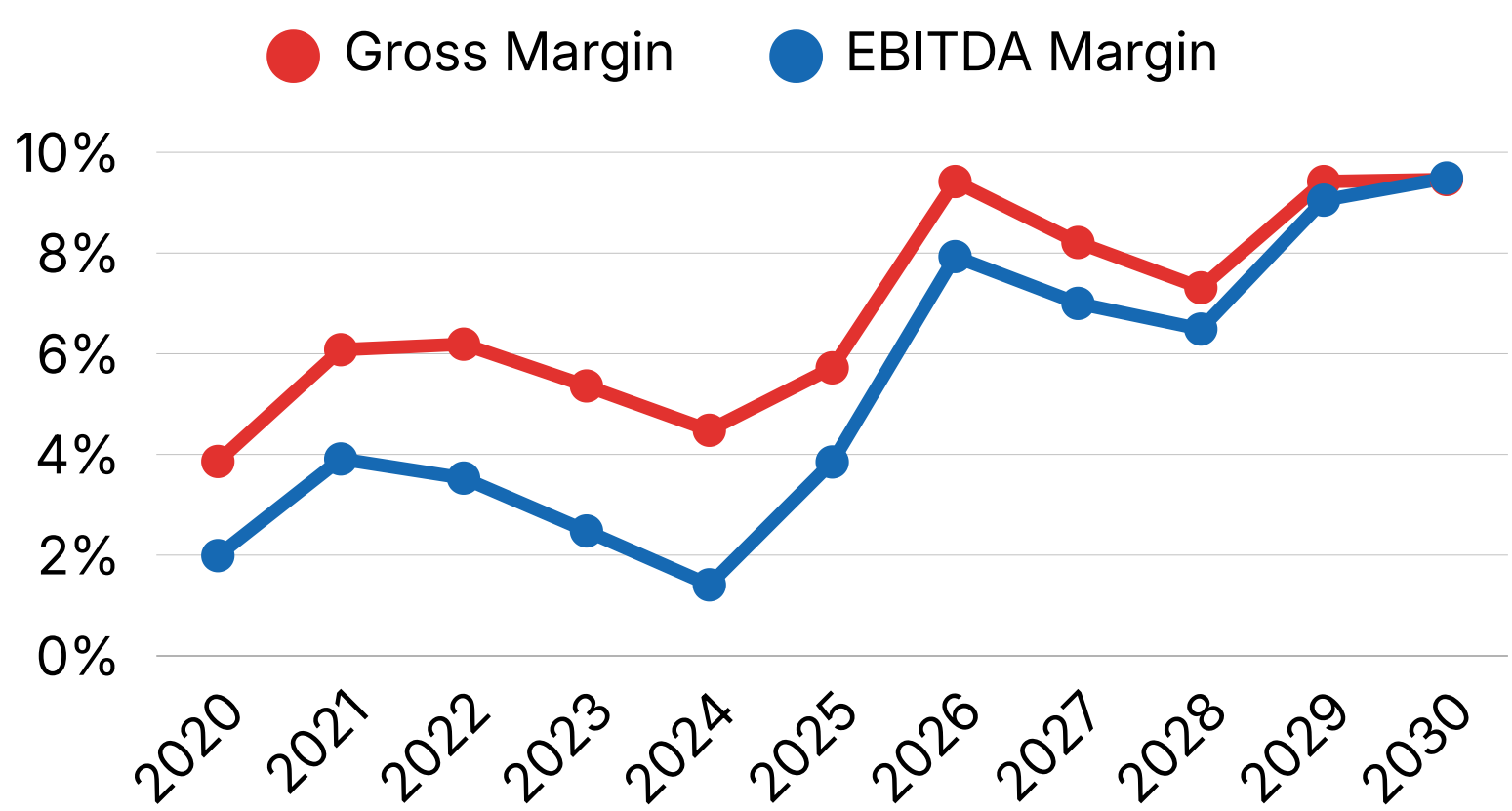


Figure 27: CAPEX Growth
Source: Team Analysis, PTSC Annual Report

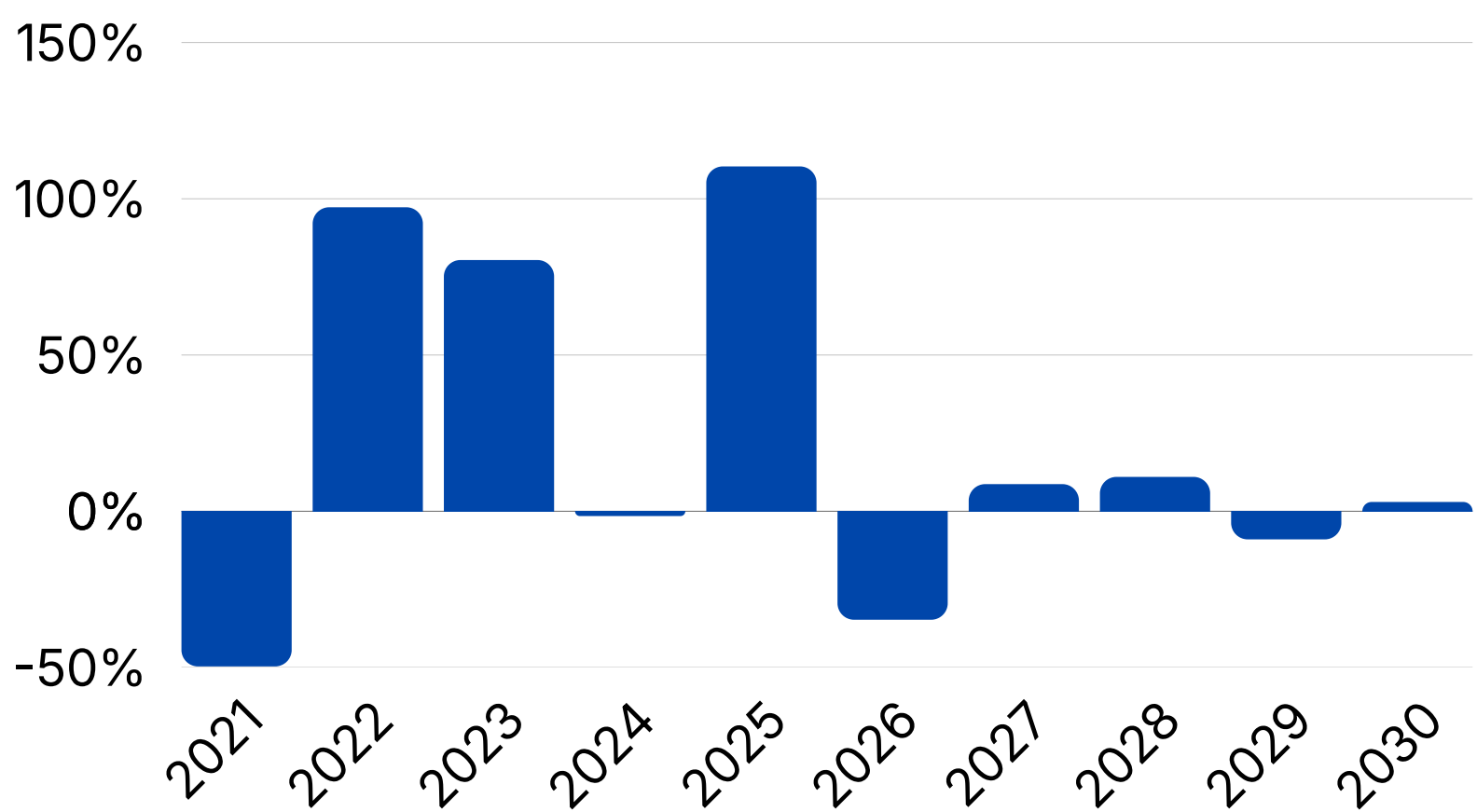


Figure 28: Current & Quick Ratio
Source: Team Analysis, PTSC Annual Report

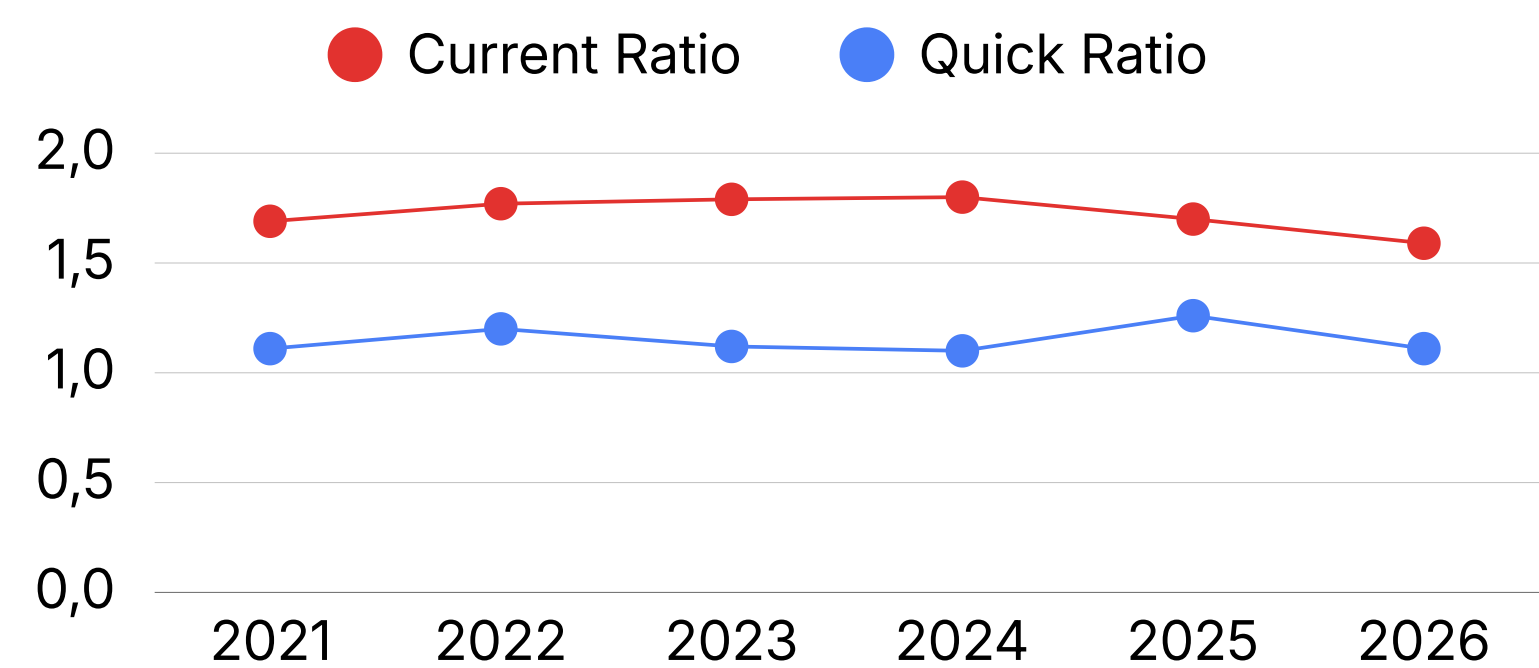
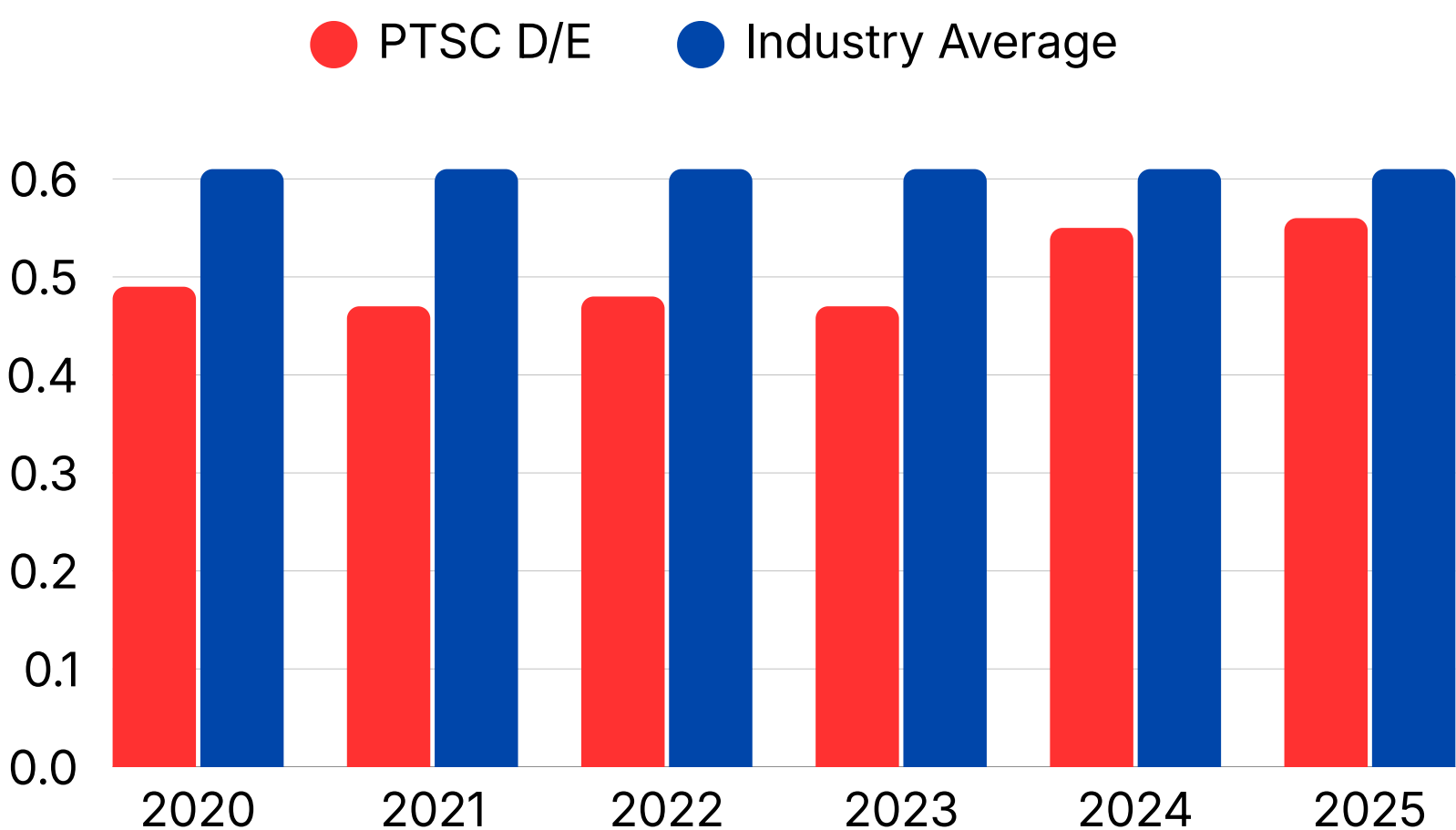


Figure 29: D/E Ratio from 2020 - 2025
Source: Team Analysis



SIGNIFICANT PROJECTED REVENUE & PROFIT GROWTH

Resonating with the industry cycle, PTSC is entering a growth phase with expected revenue at high rates for all lines, especially in M&C (**Figure 22**). Additionally, margins are expected to regain, contributed by FPSO & FSO high profitability (**Figure 23, Figure 26**). This expansion is supported by a massive M&C backlog from upstream projects like Block B - O Mon and Lac Da Vang, along with strategic investments in global offshore wind EPCI contracts. (**Appendix 8, Appendix 9**)

INCREASES IN INVESTMENT FOR POTENTIAL GROWTH

To better fund the operation, PTSC is raising its capital investments in M&C projects, FSO & FPSO, starting from 2025 (**Figure 27**). At the same time, the firm is initiating a strategic roadmap to drastically increase its charter capital, potentially tripling it to VND 15 trillion, to secure the financial leverage and matching funds required for these megaprojects.

STRONG FINANCIAL STABILITY FOR FUTURE GROWTH

PTSC owns a strong financial health, with significantly low D/E ratio compared to global industry average (**Figure 29**). This offers headrooms for future expansions when increasing debts has little impacts on their financial health. Additionally, high cash ratios strengthen PTSC's abilities for debts (**Figure 28**), as well as its CAPEX demands in the short-to-mid terms.

HOLDING PAYOUTS WITH SIGNIFICANT FUTURE EXPECTATION

With significant cash reserved, PTSC has the ability to sustain the stable payout ratio in the past. However, due to growth in capital demands, from 2024 onwards, PVS applied stock dividend policies, starting from 7% in 2024, 20% in 2025 and expected to sustain at 7% from 2026 onwards (**Figure 30**). Until 2030, this policy is expected to sustain, as investments in mega M&C projects & highly profitable FSO/FPSO projects are requiring vast capitals with promised cash flow.

Figure 30: PTSC Dividend Policies
Source: Company Report

Fiscal Year	Payment Method	Rate
2020	Cash	10% (VND 1,000/share)
2021	Cash	8% (VND 800/share)
2022	Cash	7% (VND 700/share)
2023	Cash	7% (VND 700/share)
2024	Stock	7% (Ratio 100:7)
2025	Stock	Expected 20%

VALUATION

Figure 31: Valuation Matrix

Source: Team Analysis

Methodology	Weight	Price
DCF	70%	VND 49,770
P/E	30%	VND 43,815
Target Price		VND 47,983
Upside*		26.27%

* As of close May 25, 2026

Figure 32: Gross Profit Contribution by Segment in FY20-30 (VND bn)

Source: Team Analysis

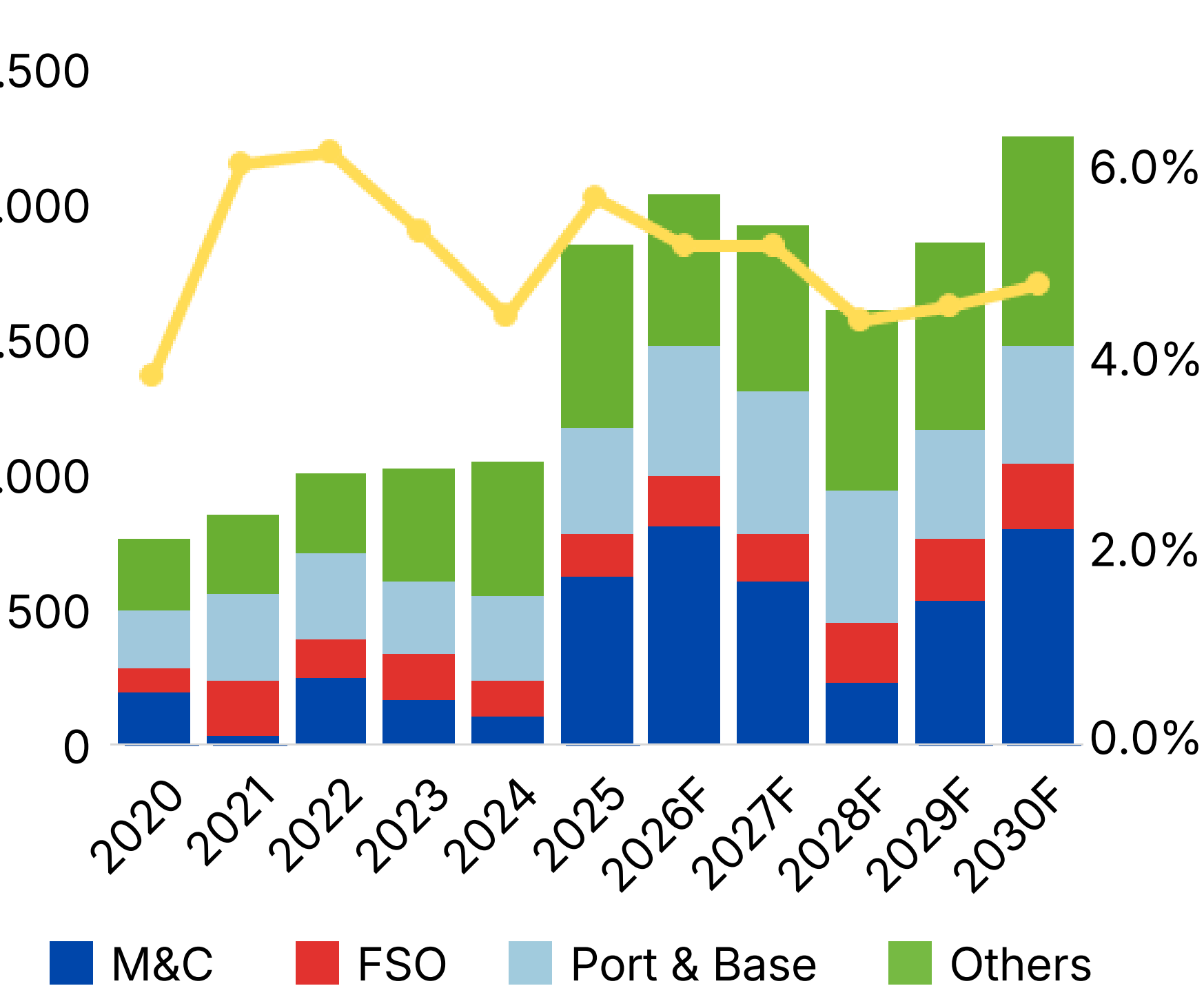


Figure 33: DCF Summary

Source: Team Analysis

Base Case (VND bn)	
Terminal Value	19.887,99
PV of Terminal Value	13.258,13
PV of Forecast Period	1.577,51
Enterprise Value	14.835,65
Less: Gross Debt	966,98
Add: Cash	11.584,69
Equity Value	25.453,36
Share Outstanding	511.420.099,00
Implied Share Price	49.770,00
Premium to Last Close	30.97%

We derive our 12-month target price of VND 47,983 using a blended valuation approach, assigning a 70% weight to DCF and 30% to P/E-based relative valuation. DCF serves as the primary methodology given PVS's capital-intensive, project-driven business model and strong backlog visibility, while P/E valuation provides a market-based cross-check against comparable oilfield services peers.

DCF VALUATION - VND 49,770, 30.97% UPSIDE ↑

We employ a Free-Cash-Flow-to-the-Firm (FCFF) DCF to better reflect PVS's capital-intensive, project-driven business, with a forecast horizon of five years (2026-2030). Our DCF arrives at a target price of VND 49,770/share, representing a 30.97% upside to the current price.

Revenue. Consolidated revenue is projected to grow from VND 32.7 trillion in 2025 to VND 47.2 trillion by 2030 (**Figure 32**), driven by M&C backlog execution, FSO fleet expansion with new entrants and Port & Base activity being renewed by the next O&G and wind cycle M&C revenue.

Cost: Our projection focuses on fluctuations in variable costs, specifically structural steel prices and offshore vessel chartering rates. Meanwhile, fixed costs from FSO/FPSO and port infrastructure depreciation will remain stable as % of sales, driven by economies of scale from mega-project backlogs (Block B - O Mon, Lac Da Vang).

Gross Margin: PVS's blended gross margin is structurally bounded in the 4-6% range, reflecting its project contractor and asset operator model (**Figure 32**). Margins compress to 4.4% in FY2028 at the peak of Block B offshore installation, before recovering to 4.6-4.8% as the mix shifts toward domestic offshore wind EPCI from FY2029.

BETA & WACC

We estimate WACC at 10.67% (**Figure 34**), reflecting PVS's predominantly equity-funded capital structure. The beta of 0.88 is derived as a 5-year regression average VN-INDEX, then re-levered using PVS's observed D/E of 0.58x. This is conservative relative to unlevered O&G industry but appropriate PVS's quasi-state ownership and long-term contract backlog, which reduce cyclical volatility.

TERMINAL GROWTH RATE

We estimate terminal growth rate (g) to be 8% for PVS, as a weighted average of **(1)** Vietnam's long-term GDP growth, **(2)** Long-term inflation growth, and **(3)** Long-term disposable income growth.

Figure 34: WACC calculation

Source: Team analysis; Damodaran (2026); Vietstock

Method	Rate	Source
Risk-free rate (Rf)	4.22%	Vietnam 10Y government bond
Equity risk premium (MRP)	8.13%	Damodaran, Jan 2026 (Moody's Ba2)
Beta (β, re-levered)	0.94	5Y avg Regression beta with VN-INDEX
Cost of equity	11.86%	CAPM model
Pre-tax cost of debt	8%	Interest paid ÷ total debt
Tax rate	20%	5Y average effective rate
WACC	10.67%	

VALUATION

Figure 35: Industry Peer Comparison
Source: Team Analysis

Sector	Average P/E	Weight
O&G	20,7	70%
OSW	10,19	30%
Weighted Average		17,55

Figure 36: P/E Valuation
Source: Team Analysis

P/E-BASED FAIR VALUE ESTIMATE

EPS Forecast (VND)	2.496
Sector Weighted Average P/E	17,55
Fair Value (VND/share)	43.815,27

Figure 37: Monte Carlo Simulation
Source: Team Analysis

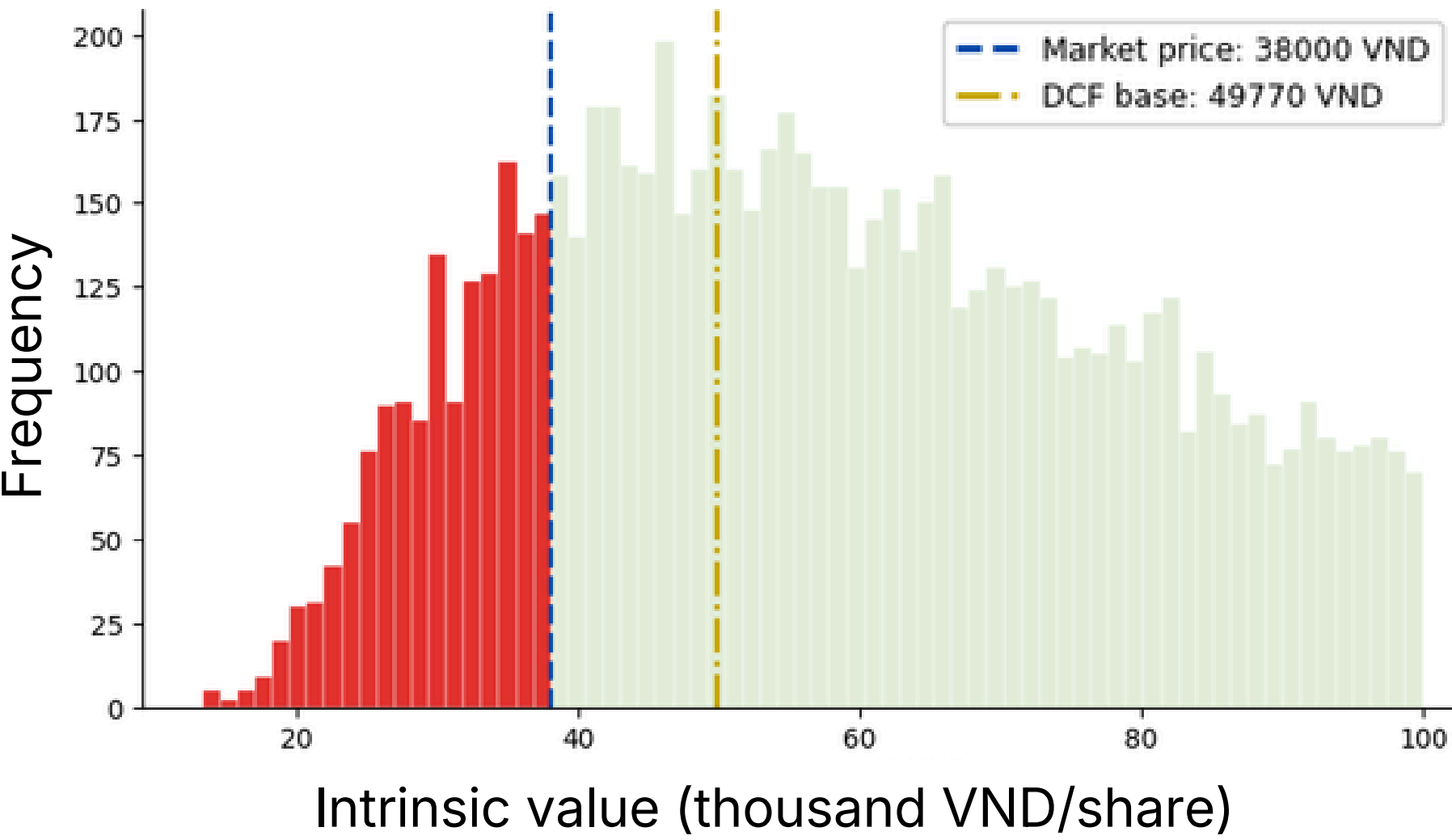


Figure 38: Sensitivity Analysis - WACC/Terminal Growth
Source: Team Analysis

% WACC					
% Terminal Growth Rate (g)	47.983,52	9,67%	10,17%	10,67%	11,17%
	7,00%	48.545,23	45.359,70	43.037,91	41.269,24
	7,50%	52.843,36	48.261,78	45.120,59	42.831,14
	8,00%	59.716,32	52.501,66	47.983,52	44.885,85
	8,50%	72.467,15	59.281,47	52.166,19	47.710,32
	9,00%	104.269,10	71.859,47	58.854,52	51.836,81

Figure 39: Sensitivity Analysis: Gross/EBITDA Margin
Source: Team Analysis

Gross Margin					
EBITDA Margin	47.983,52	-5,00%	-2,50%	0,00%	2,50%
	-5,00%	43.174,91	46.929,82	50.684,72	54.439,63
	-2,50%	41.824,30	45.579,21	49.334,12	53.089,03
	0,00%	40.473,70	44.228,61	47.983,52	51.738,43
	2,50%	39.123,10	42.878,01	46.632,92	50.387,83
	5,00%	37.772,49	41.527,40	45.282,31	49.037,22

RELATIVE VALUATION - VND 43,815, 15.30% UPSIDE ↑

Peers Selection: We select listed companies as comparable peers based on following criterias: **(1)** business model alignment & core operations **(2)** industry ecosystem, **(3)** geographical relevance. Indeed, we will have both domestic and foreign companies. Our picked comparable peers are: PVB, PVC, PVD, PEQ which are domestic companies **(Appendix 21)**; and MHB, 5E2, which are foreign companies **(Appendix 22)**. We use domestic peers to represent PTSC’s O&G sector and foreign peers to represent PTSC’s OSW.

Multiple selection: We choose P/E as the suitable multiple for PTSC because it reflects the core business and revenue driver of PTSC, which is EPCI/ EPC contracts. Besides, utilizing Forward P/E enables investor to anticipate and accurately price the explosive earnings growth triggered by major energy backlogs, while providing a standardized metric to benchmark PTSC against regional oligopolistic peers to justify its well-deserved valuation premium.

SENSIVIVITY ANALYSIS

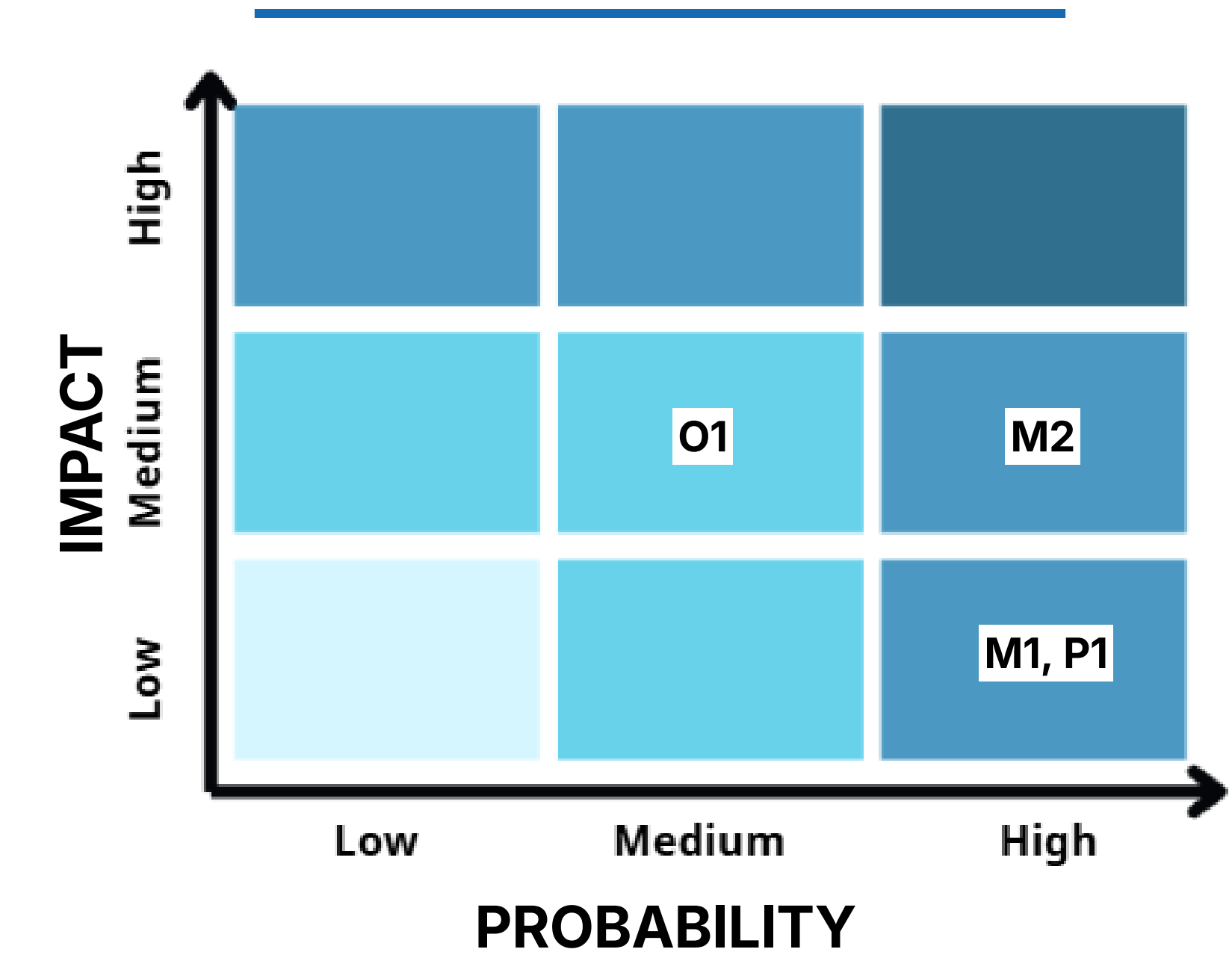
We sensitise our valuation across two dimensions to assess the robustness of our recommendation. As the two primary determinants of terminal value, we flex WACC and Terminal Growth Rate (g) simultaneously around our base case of 10.67% and 8.00% respectively **(Figure 38)**. The implied price range is VND 38,188-130,177, supporting our BUY recommendation while a modest improvement in either assumption yields meaningfully higher upside.

PVS's gross profit is highly exposed to the cyclicity of offshore O&G capex, while EBITDA margin remains susceptible to cost overruns and contract mix shifts, making these two variables the key sources of forecast uncertainty in our model. We flex gross margin and EBITDA margin simultaneously by up to ±5% relative to our base case **(Figure 39)**. The majority of outcomes remain well above current market price, confirming the resilience of our valuation to operating performance deviations.

To further stress-test beyond the two-dimensional tables above, we ran a Monte Carlo simulation across 10,000 scenarios by simultaneously randomizing all four drivers (1) revenue growth, (2) WACC, (3) EBITDA margin and (4) terminal growth rate **(Figure 37)**. Across all valid scenarios, 81.2% return an intrinsic value above market price and 61.0% exceed the DCF base case of VND 49,770. Revenue growth (r = +0.65) and EBITDA Margin (r = +0.33) emerge as the two dominant value drivers, consistent with the sensitivity findings above **(Appendix 20)**.

RISK ASSESSMENT

Figure 40: Risk Matrix
Source: Team Analysis



POLITICAL RISK

[P1] - Sector-related uncertainties in legality frameworks: While laws for offshore wind and nuclear power are established, the frameworks remain incomplete and unstable. **(Figure 12) Impact:** Delays of mid and long terms projects’ pipeline. **Mitigation:** Close tracking with legality frameworks, contribute ideas through PVMTA.

MARKET RISK

[M1] - Macroeconomic factors and cost of capital pressures: International interest rates and USD's increasing strengths exerts pressure on foreign currency-denominated obligations. **Impact:** A 3% to 5% depreciation of the VND against the USD translates into a direct VND 150B – 250B increase, shrinking the NPV of multi-year energy projects by roughly 4% to 6%. **Mitigation:** Manage capital structure by revising investments in projects and opting for effective hedging strategies against interest rates and exchange rates fluctuation.

[M2] - Energy resources and geopolitical volatility in East Sea & Middle East: Oil, gas, and LNG prices continue to fluctuate in a complex manner, while the domestic resources of oil and gas are declining. **Impact:** VND 5 trillion to 8 trillion of PTSC's prospective backlog could face deferral or cancellation over a 24-month period. **Mitigation:** Strengthen market analytical and forecasting capabilities to develop flexible operational strategies that align swiftly with energy price movements.

Operational Risk

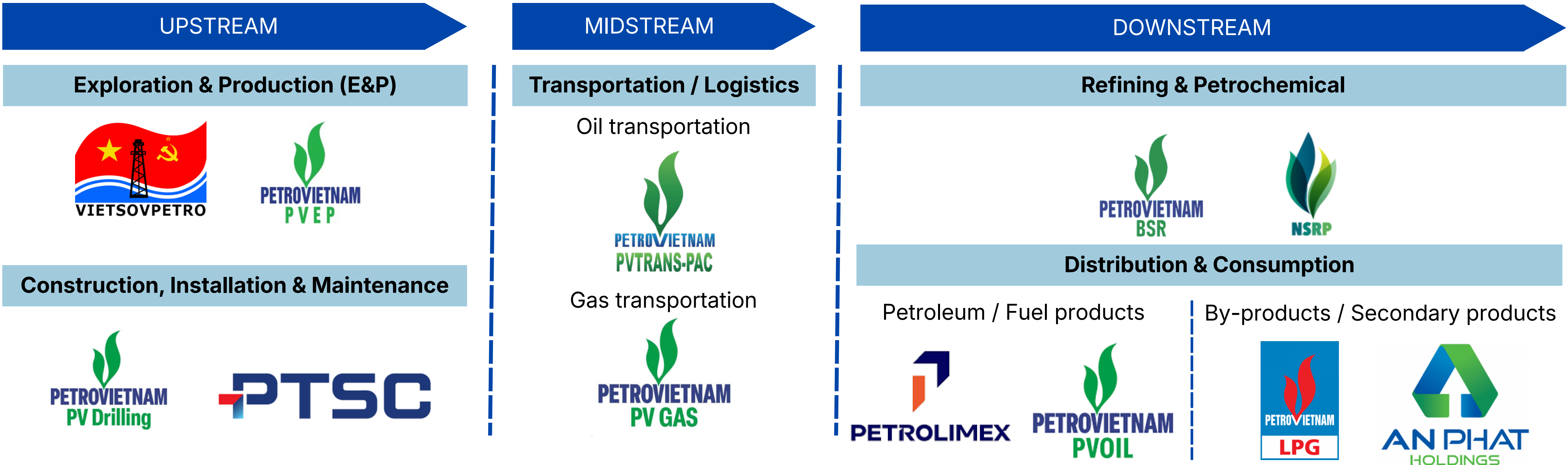
[O1] - EPC/EPCI Contract Execution Risk: Under lump-sum EPCI structures, cost escalation and schedule overruns are absorbed entirely by PVS - a structural hazard of the industry that the majority of offshore projects miss sanctioned cost and schedule targets at completion **(Appendix 24, Appendix 25)**. **Valuation:** A 2pp EBITDA margin compression from a single mid-size overrun reduces our target price by 1.75%. **Mitigation:** Tighten subcontractor pre-qualification and progress toward Target Cost/Gain-Share structures on technically novel contracts, supported by comprehensive project insurance (performance bond, marine all-risk).

APPENDIX

Appendix 1: Industry value chain	Appendix 8: PTSC Fleet Expansion	Appendix 15: PTSC Offshore Record	Appendix 22: Average P/E Foreign Peers
Appendix 2: Seaborne Crude Oil and Petroleum Products Transit through channels	Appendix 9: M&C Project Execution Schedule	Appendix 16: Components of an offshore wind farm	Appendix 23: Bull & Bear Analysis
Appendix 3: SWOT Analysis	Appendix 10: PTSC Vung Tau Fabrication’s Capacity	Appendix 17: Key Assumptions	Appendix 24: E&P and non E&P Megaproject outcomes
Appendix 4: Corporate Structure	Appendix 11: FSO revenue vs Brent oil price volatility	Appendix 18: Monte Carlo Results Summary	Appendix 25: E&P megaproject successes and failures
Appendix 5: PESTLE Analysis	Appendix 12: Regional offshore wind outlook for new installations (GW)	Appendix 19: Cummulative Distribution	Appendix. 26: Income Statement Forecast
Appendix 6: Porter’s Five Forces	Appendix 13: PVS’s Revenue Forecasts FY20-30	Appendix 20: Tornado - Variable Sensitivity	Appendix 27: References
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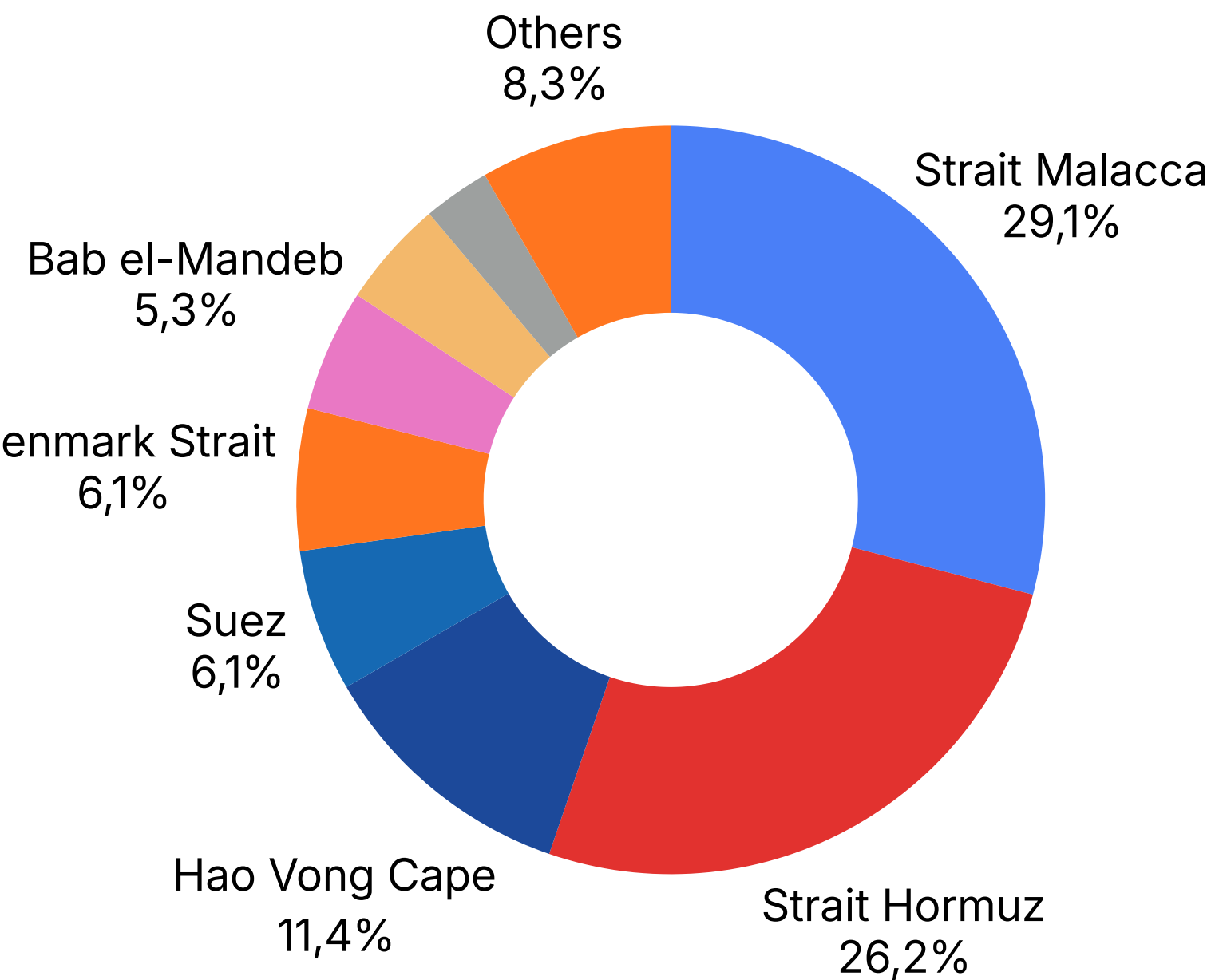
Appendix 1: Industry value chain

Source: PVS, Aseansc Research



Appendix 2: Seaborne Crude Oil and Petroleum Products Transit throught channels

Source: SHS Research



Appendix 3. SWOT Analysis

Source: Team Analysis

Strengths	Weaknesses
• Dominant domestic position within PetroVietnam ecosystem; preferred contractor for upstream projects • Fully integrated portfolio - EPCI, FPSO/FSO, marine, surveys — across 18 countries • Early-mover in offshore wind; ~USD 1.5B in renewable contracts • 2024 revenue exceeded plan by 54.8%; 25.52M safe working hours	• Heavy PVN revenue concentration limits strategic autonomy • No upstream control over steel, equipment, or skilled labor inputs • 2025 revenue target ~6.25% below 2024 actual — execution risk on large EPCI projects • ESG disclosure underdeveloped vs. international peers; no GHG reduction targets
Opportunities	Threats
• Vietnam PDP8 mandates major offshore wind buildout by 2030 - direct demand pipeline • Only Vietnamese firm licensed for full offshore wind survey & assessment • Block B – O Môn EPCI execution drives near-term profit growth • PVN net zero 2050 target expands PTSC's addressable market in low-carbon services	• Oil price volatility reduces IOC upstream capex - direct revenue cyclicality • Tightening global ESG disclosure requirements may disadvantage PTSC in international bidding • Structural long-term decline in fossil fuel demand if renewable pivot doesn't scale • Global fabricators entering Asian offshore wind market as competition intensifies

Source: PVS, Annual report

pvs

Source: Team Analysis

Threats

P

- Strong government supports in securing contracts in M&C
- Bilateral agreements with other nations in renewable energy

- State influence on decisions & dividend policies
- Geopolitical instabilities in Middle East and Red Sea

E

- Industry super-cycle
- Vietnam increasing demands in energy

- Dollar appreciation
- Global oil & gas demand

S

- Educated work force in HUST & HUMG for pipelining

- Require continuous retraining of the traditional workforce
- Workers are exposed to high risks during work.

T

- Mastery in engineering and fabricating offshore substations (OSS)
- Advanced tech adoption including PTSC-BI, ERP, Cloud, and AI

- Entering offshore wind markets demands massive initial R&D and adherence to extreme safety standards,.

E

- The shift to clean energy opens vast markets for offshore wind and LNG infrastructure
- Green finance allows access to international "green" capital

- Extreme weather may halt operations
- Hard to meet emission targets in ESG

L

- PDP8 Implementation
- The allocation of ~40,000 hectares of offshore area to PTSC

- Lacks complete provisions potentially delaying project approvals

Appendix 6: PTSC’s Porter Five Forces

Source: Team Analysis

Competitive rivalry - Low

Domestic market	PTSC holds a dominant position backed by deep PetroVietnam ecosystem integration, serving as preferred contractor with no comparable domestic rival.
International market	Global players such as McDermott, Saipem, and Subsea 7 typically engage with PTSC through JV structures rather than direct competition, reducing head-to-head rivalry.
Oligopolistic structure	The O&G services industry is structurally oligopolistic with high barriers, meaning few players compete in the same space - further containing rivalry intensity.

Threat of new entrants - Low

Capital requirements	Heavy upfront investment in offshore vessels, fabrication yards, ports, and FSO/FPSOs creates prohibitive entry barriers
Technical & regulatory barriers	Strict safety standards, technical certifications, and strategic national energy security considerations structurally limit new entrants.
Ecosystem lock-in	Long-standing contracts with PVN, BP, Petronas, KNOC, and JVPC make it extremely difficult for new players to gain market access.

Threat of substitutes - Low

Near-term	No viable substitute exists for offshore O&G installation, FPSO/FSO operations, or specialized marine services in the near term.
Long-term hedge	PTSC's active expansion into offshore wind directly addresses the energy transition risk, repositioning the company within the renewable energy value chain.

Bargaining power of buyers - Low

PVN ecosystem	As a key PetroVietnam subsidiary, PTSC serves as preferred contractor for domestic upstream projects, significantly reducing buyer leverage in the local market.
Relationship & expertise moat	Long-standing client relationships, deep technical expertise, and ecosystem integration make switching costly for buyers.
International clients	IOCs retain more leverage given global sourcing ability; however, long-term EPCI contracts and JV structures mitigate this exposure.

Bargaining power of suppliers - Medium - High

Input dependency	PTSC does not control upstream sources of key inputs - offshore-grade steel, construction materials, and specialized subsea equipment are sourced externally, creating significant price and availability exposure.
Skilled labor scarcity	Highly skilled technical and engineering labor remains scarce in Vietnam's offshore sector, giving specialized talent meaningful bargaining power.
Mitigation	PTSC's in-Vietnam fabrication model and ongoing workforce development programs partially reduce supplier dependency over the medium term.

Appendix 7: ESG Assessment

Source: PTSC Annual report 2024 - 2025, Team Analysis

To assess PTSC's ESG performance, the team conducts evaluation based on the framework established by MSCI and the CFA Institute Corporate Governance standards. The following table summarizes the analysis. Marking Rubric:

1 - The company did not follow the criteria at all.

2 - The company did not fully follow the criteria.

3 - The company followed the criteria

4 - The company has excellent policies on the criteria

Criteria	PTSC’s Actions	
ENVIRONMENTAL		Average: 3,4/4,0
Carbon & Climate Risk	PTSC completed GHG inventories (Scope 1 & 2) across HQ and 18 subsidiaries, recording 33,642.90 tCO ₂ e. Physical climate risks are integrated into the risk management framework, with monitoring of extreme weather and sea level rise impacts; however, climate adaptation measures remain tied to the national 2018–2030 action plan with limited company-specific targets.	3,4
Waste, Water & Resource Efficiency	In 2024, 100% of wastewater met national standards with zero environmental incidents, and industrial waste declined 21% YoY. Water consumption fell 20.2% to 160,337 m³. However, advanced upstream controls such as Material Flow Analysis and circular economy implementation remain 2030 targets, and a comprehensive raw material reduction policy has yet to be established.	3,5
Biodiversity & Land Use	All projects require biodiversity impact assessments from early development; over 6,700 trees planted in 2024. A dedicated Biodiversity Impact Management Plan is under development, targeted for completion by 2030	3,7
Renewable Energy Transition	Renewable energy services reached VND 5,397 billion (21.6% of total consolidated revenue) in 2024, with offshore renewable energy contributing VND 5,418 billion (24.8% of core service revenue) in 2025 — reflecting a material and accelerating shift toward clean energy.	4,0

SOCIAL		Average: 3,2/4,0
Human capital development	In 2025, the company recorded 25.52 million safe labour hours, highlighted by 9 million safe hours achieved specifically on the CHW2204 project.	3,5
Gender diversity	Due to the nature of the offshore oil & gas engineering sector, the workforce structure is heavily male-dominated.	2,5
Access to health care	PTSC provides PVI Care insurance to all employees, high-standard annual medical check-ups, and family care support. Personnel operating on FSO/FPSO vessels and offshore construction are provided with onboard medical systems that fully comply with international standards.	3,0
Product safety & quality	PTSC M&C has achieved certifications for ISO 9001, ISO 3834, and OHSAS 18001, along with global engineering standards such as ASME, AWS, and DNV. Most notably, being selected and awarded a second contract (Baltica 2) by Ørsted - the world’s leading offshore wind developer.	4,0
Privacy & security	PTSC has successfully implemented ISMS certification under ISO 27001, the leading international standard for information security.	3,0
Responsible investment	The company actively participates in projects with positive social impacts, such as exporting offshore wind foundations, mine closures, and developing green energy solutions for Singapore.	3,0
Community investment	During the 2023-2025 period, PTSC conducted CSR and social welfare initiatives totaling VND 74.4 billion. Specific activities include VND 5 billion to support union members with critical illnesses, and the "Union Shelter" project providing housing assistance to disadvantaged employees.	3,5

CORPORATE GOVERNANCE (Executive Committee)		Average: 3,55/4,0
Board Composition & Independence	7 members with clearly defined executive, non-executive, and independent roles; however, only 2 out of 7 are independent (28.5%), below the recommended 1/3 threshold	3,0
Governance & Compliance	BOD operates in full compliance with Vietnamese corporate law; related party transactions reviewed on an objective and transparent basis with no conflicts of interest recorded	4,0
Board Effectiveness	Members possess strong academic backgrounds and extensive management experience; 100% attendance rate at all BOD meetings	4,0
Shareholder Responsiveness	Proactively receives and responds to shareholder inquiries; ensures voting rights and timely access to information at GMS	4,0
Role Separation & Oversight	Chairman and CEO roles are separated; however, the CEO concurrently serves as a BOD member. PTSC maintains an independent Board of Supervisors and an Internal Audit department reporting directly to the BOD.	2,5

Audit Committee		Average: 4/4,0
Independent Audit	PTSC's financial statements are prepared in accordance with Vietnamese Accounting Standards. The committee monitors the external auditors’s objectivity and transparency	4,0
Independent Audit	PTSC's statements are audited by a reputable independent firm, Deloitte Vietnam Company Limited	4,0
Financial Integrity	The financial statements received an "unqualified audit opinion with no exceptions" and are publicly disclosed	4,0
Selection of Auditor	The Board of Supervisors is responsible for appraising and transparently submitting the audit reports for approval at the GMS	4,0

Compensation committee		Average: 3,2/4,0
Performance metrics (executive pay)	As a state-owned enterprise, executive compensation is controlled by the regulatory frameworks of PVN and state authorities; it does not accurately reflect competitive market rates.	4,0
Performance metrics (charter disclosure)	The company's charter and internal operating regulations for the BOD are officially approved at the General meeting of shareholders but are not disclosed in public.	3,0
Performance metrics (share-based comp)	There is no evidence of ESOP or share-based compensation programs for the BOD or executive management. As an SOE under PVN, the implementation of equity-based incentives is highly restricted by state regulations.	2,5

Shareholder rights protection		Average: 3,3/4,0
Election	The 2025 GMS demonstrated an actual, functioning voting process with approval rates ranging from 91% - 99.9%. PVN’s dominant 51.38% stake restricts the ultimate voting power of minority shareholders.	3,0
Right to dividend	PTSC maintains a strong commitment to highly regular and stable dividend payouts. Most recently, the company issued over 33.4 million shares to distribute the 2024 stock dividend at a 100:7 (7%) ratio.	3,5
Shareholder rights (voting requirements)	The 91%-99.9% approval rate across all resolutions reflects a transparent voting process. A free-float rate of approximately 50% ensures that minority shareholders possess adequate market liquidity and the freedom to exit positions.	3,0
Shareholder rights (minority protection)	Minority shareholders received direct, transparent Q&A responses from executive management at GMS. Dragon Capital increasing its ownership stake to 8% in 2025 validates that minority institutional investors can accumulate shares and exert market influence.	3,0
Shareholder rights (information access)	Annual reports, Board resolutions, audited financial statements, and all official meeting materials are fully and transparently disclosed on both the PTSC website and the HNX.	4,0
OVERALL AVERAGE		3,5

Appendix 8: PTSC Fleet Expansion

Source: VPBS

Vessel	PVS%	Rate/day	End	Estimated revenue for PTS (per year)
FPSO Lam Son	51%	\$49.000	2027	\$8.996.400
FPSO East Sea	51%	\$42.000	2028	\$7.711.200
FPSO Ruby II	60%	\$92.000	2024	\$19.872.000
FSO Orkid	49%	\$40.000	2027	\$7.056.000
FSO Sao Vang - Dai Nguyet	49%	\$68.000	2027	\$11.995.200
FSO Lac Da Vang	51%	\$114.000	2036	\$20.930.400
FSO Block B	51%	\$94.000	2041	\$17.258.400

Appendix 9: M&C Project Execution Schedule

Source: Company Report, Team Analysis

Project Name	Project Scale (USD million)	Project Type	2025	2026F	2027F	2028F	2029F
Block B - EPCI#1	550	Domestic O&G	32%	60%	100%		
Block B - EPCI#2	400	Domestic O&G	70%	90%	100%		
Block B - EPCI#3	257	Domestic O&G	30%	80%	100%		
Lac Da Vang 1	245	Domestic O&G	85%	100%			
Lac Da Vang 2	88	Domestic O&G		20%	30%	65%	100%
CRPO 125&126 - KSA	40	Overseas O&G	30%	70%	100%		
CRPO 135 - KSA	39	Overseas O&G		50%	80%	100%	
Hai Long Offshore Wind - Taiwan	90	Offshore Wind	80%	100%			
Baltica Offshore Wind - Poland	180	Offshore Wind	10%	60%	100%		
Fengmiao Offshore Wind	100	Offshore Wind	25%	70%	100%		
Formosa Project (35 foundations - Taiwan)	160	Offshore Wind		50%	80%	100%	

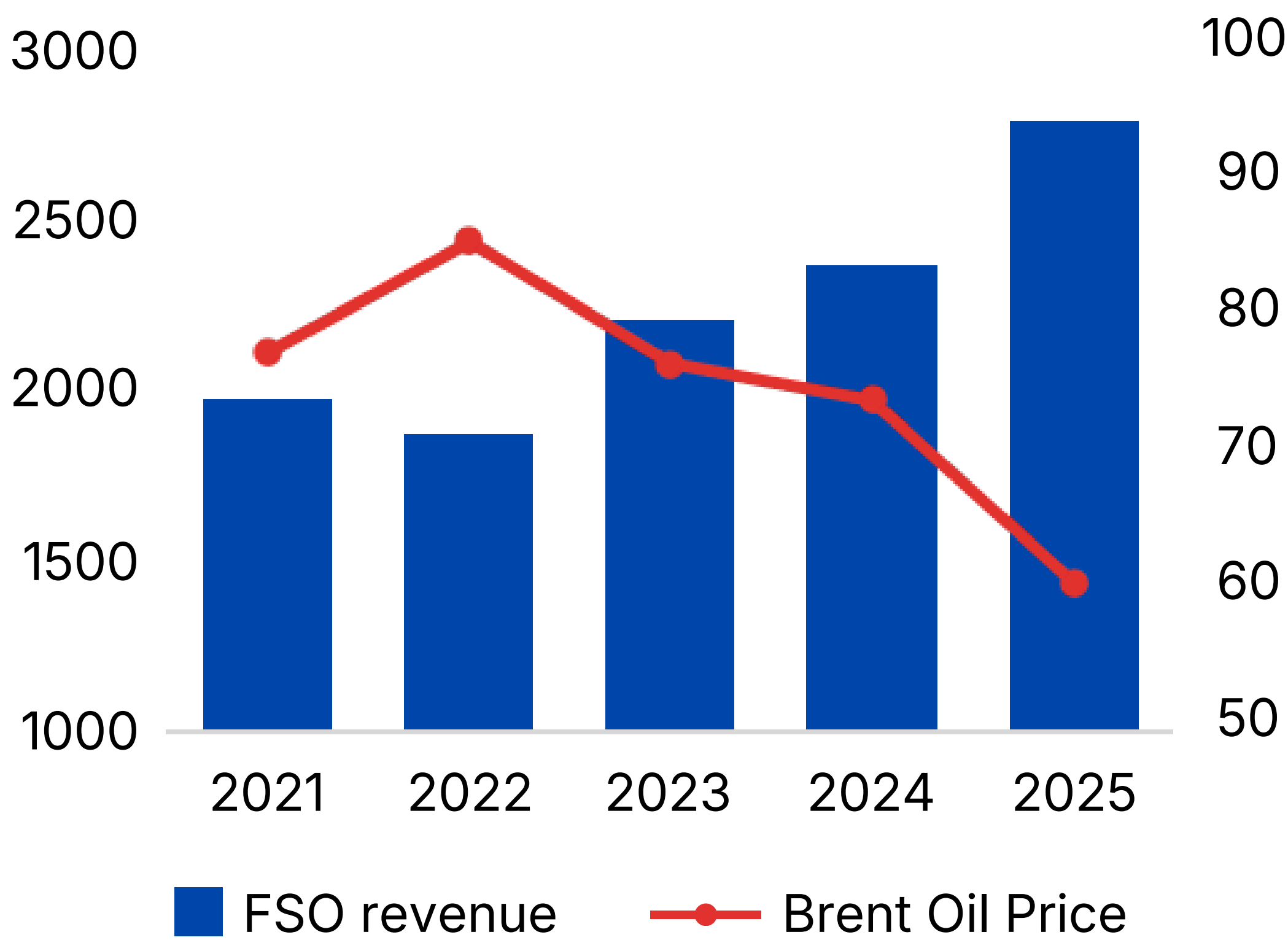
Appendix 10: PTSC Vung Tau Fabrication's Capacity

Source: PTSC M&C

Metric	PTSC M&C Yard	PTSC Assessment
Fabrication productivity	Up to 50,000 tons per year	Above-average: Sufficient for serial production of jackets/OSS for utility-scale OSW
Max load-out capacity	25,000 tons per structure	Competitive: Meets the requirements for conventional offshore wind jackets (500–1,500 tons/jacket)
Heavy fabrication facilities	3 skidways, hydraulic skidding system, heavy fabrication workshops	Qualified for heavy offshore fabrication
Engineering capability	>250 engineers	Ownership for detailed engineering
Yard area	82,2 ha (include > 30 ha main yard)	Sufficient for serial fabrication
Marine logistics	Draft of approximately 9.5–14m	Major advantage for exporting offshore structures within APAC; deep-water port is sufficient for transportation from Vietnam to other countries in the region

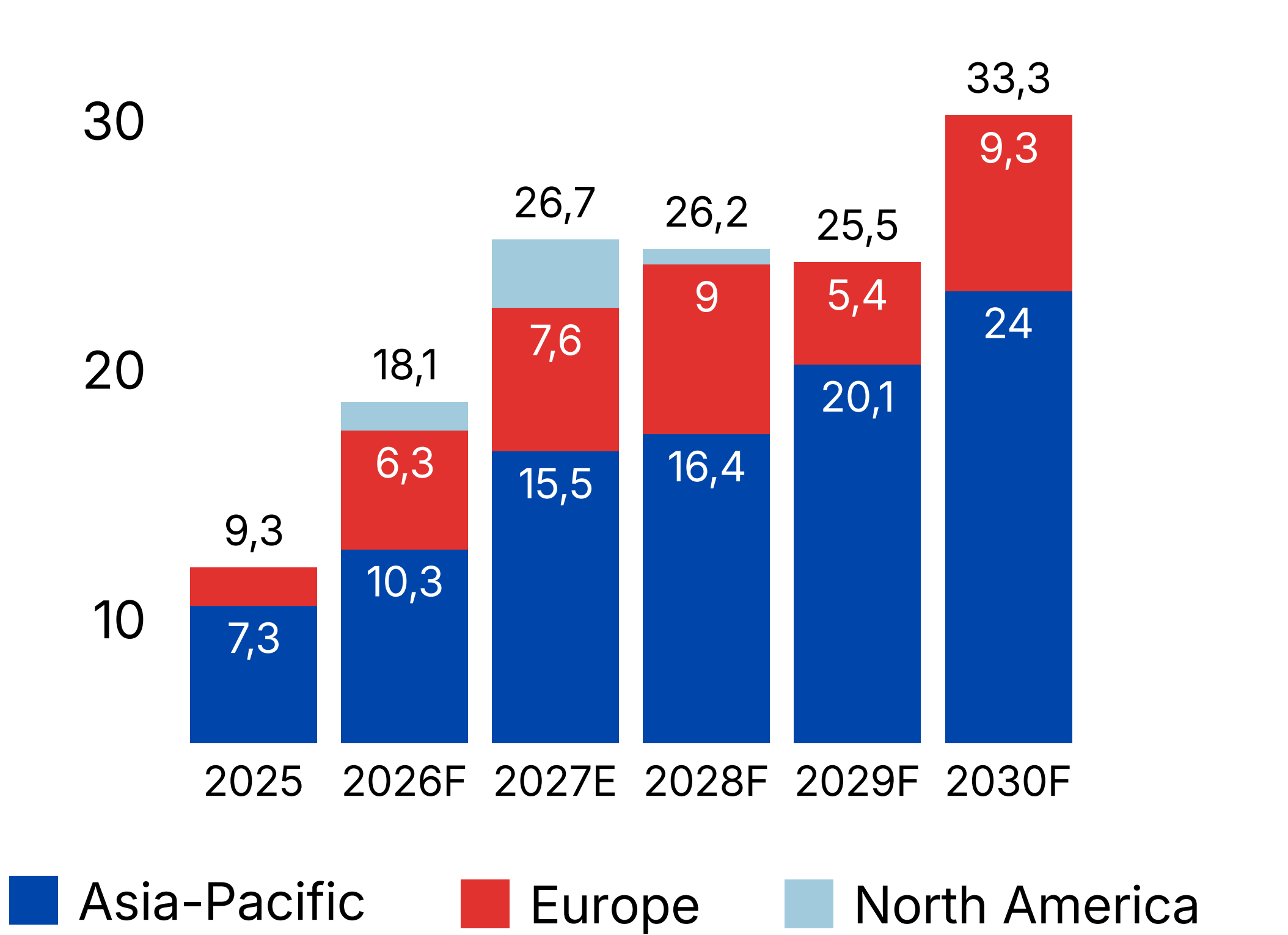
Appendix 11: FSO revenue vs Brent oil price volatility

Source: Team Analysis



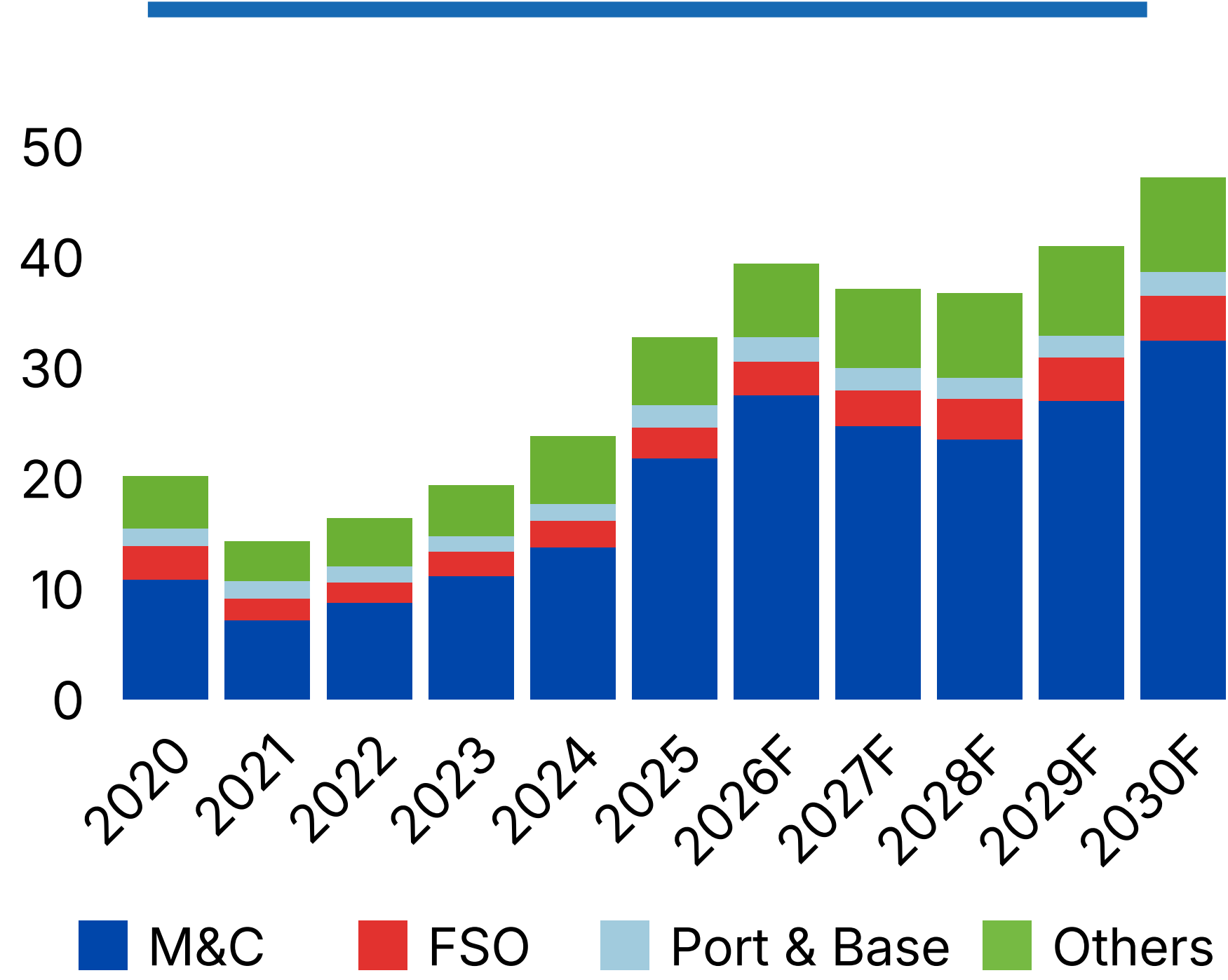
Appendix 12: Regional offshore wind outlook for new installations (GW)

Source: Global Wind Energy Council



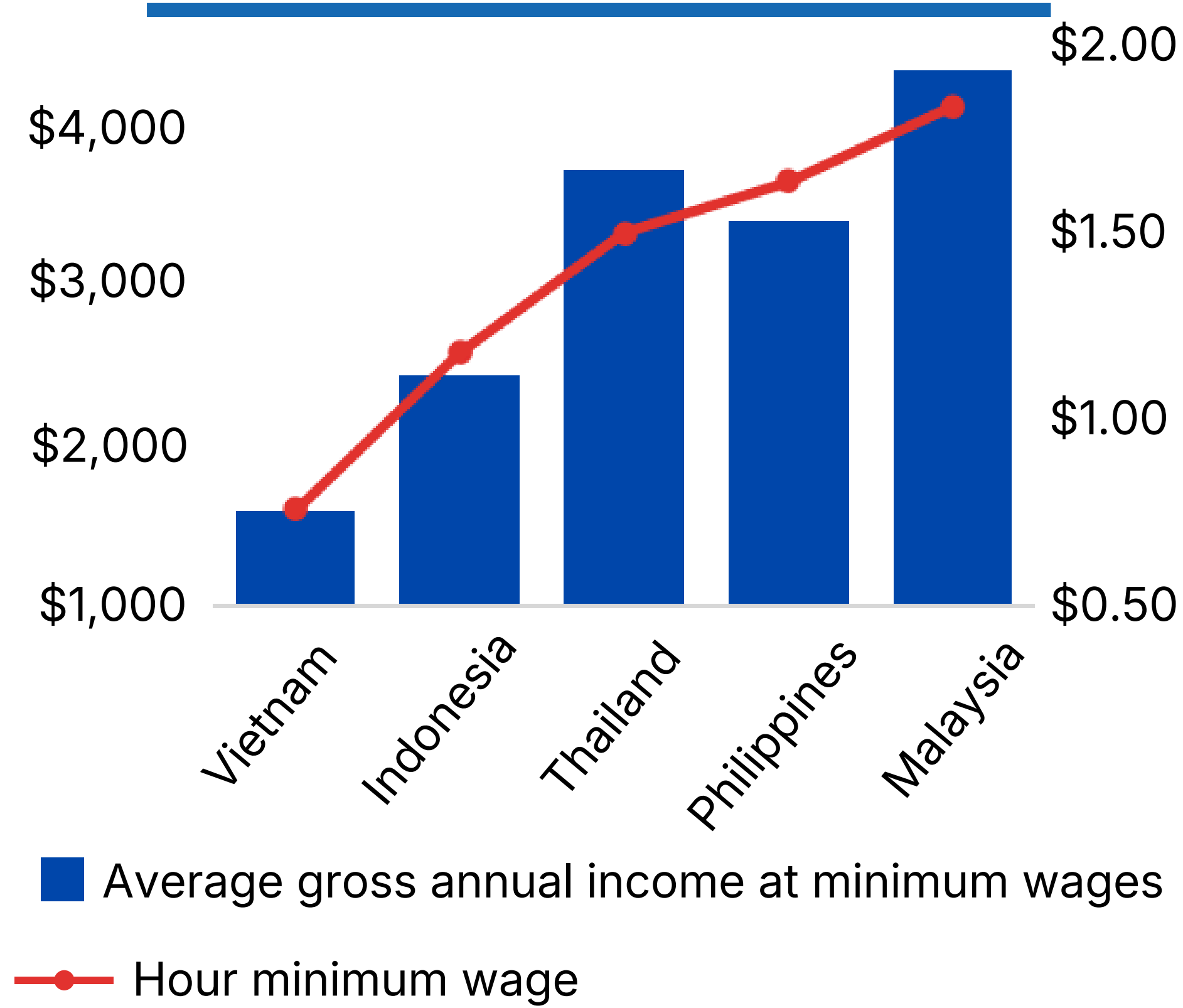
Appendix 13: PVS’s Revenue Forecasts during FY20-30 (VND tn)

Source: Team Analysis



Appendix 14: Minimum Wage by Country

Source: World Population Review



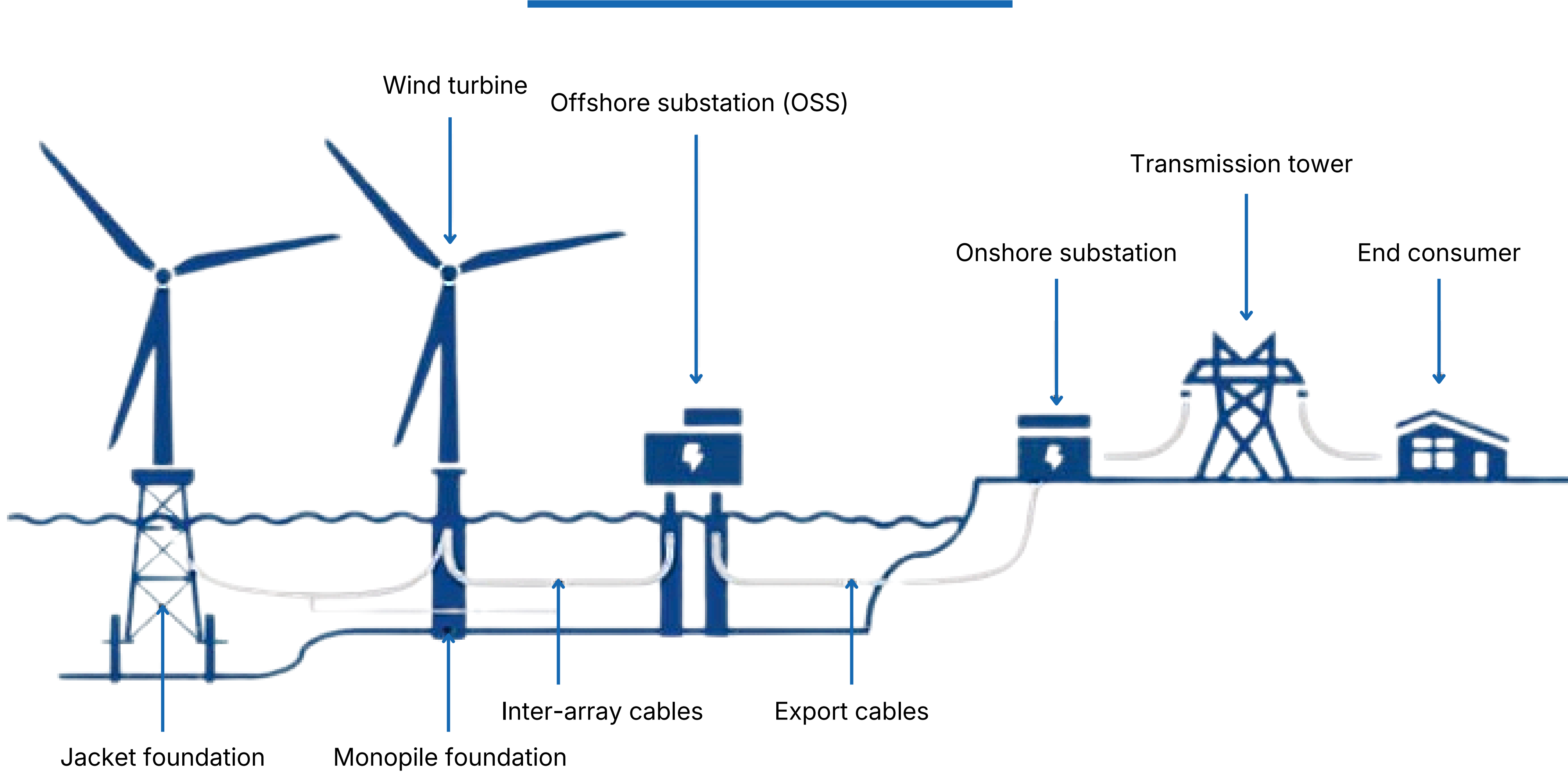
Appendix 15: PTSC Offshore Record

Source: Company Repory

Offshore O&G capability	Offshore wind application	Projects
Jacket fabrication	Wind jacket fabrication	Fengmiao piles & jackets
Topside fabrication	OSS topside	Hai Long 2&3, Baltica 2
Marine load-out	OSS export to Taiwan	Cheng 2B, Fengmiao
Offshore engineering	OSS EPC	Formosa 4, Baltica 2

Appendix 16: Components of an offshore wind farm

Source: Innovation Norway



Appendix 17: Key Assumptions

Source: Team Analysis

Revenue

Period of analysis spans 2026-2030. Revenue is projected separately for M&C, FSO/FPSO and Port & Marine Services before cross-checking against management's medium-term revenue guidance. M&C revenue is estimated using a project-by-project backlog approach, while FSO/FPSO and Port revenues are driven by asset utilization, charter contracts, and offshore activity levels.

Growth drivers: Our forecast is supported by three key drivers: (i) continued execution of the current M&C backlog, (ii) commissioning of new FSO assets, including Lac Da Vang and Block B, under long-term charter contracts, and (iii) the next domestic investment cycle and offshore wind developments under PDP8. We exclude potential contributions from Ca Voi Xanh, nuclear power projects and future offshore wind auctions, which represent upside to our base case.

Costs

Gross margin assumptions: We assume a normalized M&C gross margin of 5%, reflecting historical through-cycle profitability. While recent margins have improved, we do not incorporate a structural margin expansion until greater visibility emerges regarding accounting treatment changes and offshore wind execution efficiency. FSO/FPSO margins gradually improve as new assets enter operation, while Port & Base benefit from operating leverage during periods of higher throughput.

Costs: operating costs are modeled based on their structural behavior relative to revenue. Due to PVS's project-bidding nature, selling expenses are structurally negligible and modeled as 0.39% of revenue (the 3-year historical average). Conversely, G&A expenses function as fixed overheads (personnel salaries and provisions) and are projected to grow at a stable 4.0% – 7.0% YoY.

Debt forecasts and cost of debt

Debt forecast: Total debt is modeled using a stable D/E ratio of ~0.58x, reflecting PVS's conservative capital structure. Backed by a VND 11,584.69 cash balance, future mega-projects (Block B, Lac Da Vang) will be funded via internal cash generation rather than new external leverage.

Cost of debt: Reconstructed from historical interest expense/total debt, pre-tax cost of debt is adjusted forward-looking to a flat 7.80% over the forecast horizon.

Net working capital

NWC assumptions are anchored to actual 2024-2025. DSO has improved sharply from 116 days (2020) to 50.86 days, reflecting stronger collections discipline. The short CCC of 15 days indicates PVS collects from clients before paying suppliers, a structural advantage from M&C billing.

CAPEX and D&A

We assume D&A at **2.3–2.8%** of revenue, consistent with the 2020-2025 historical average. Capex runs at roughly twice D&A, reflecting moderate growth investment; the gap narrows post-2027 as the main FSO launch cycle slows down. Net reinvestment (capex minus D&A) remains a modest FCF drag, supporting PVS's strong cash generation profile.

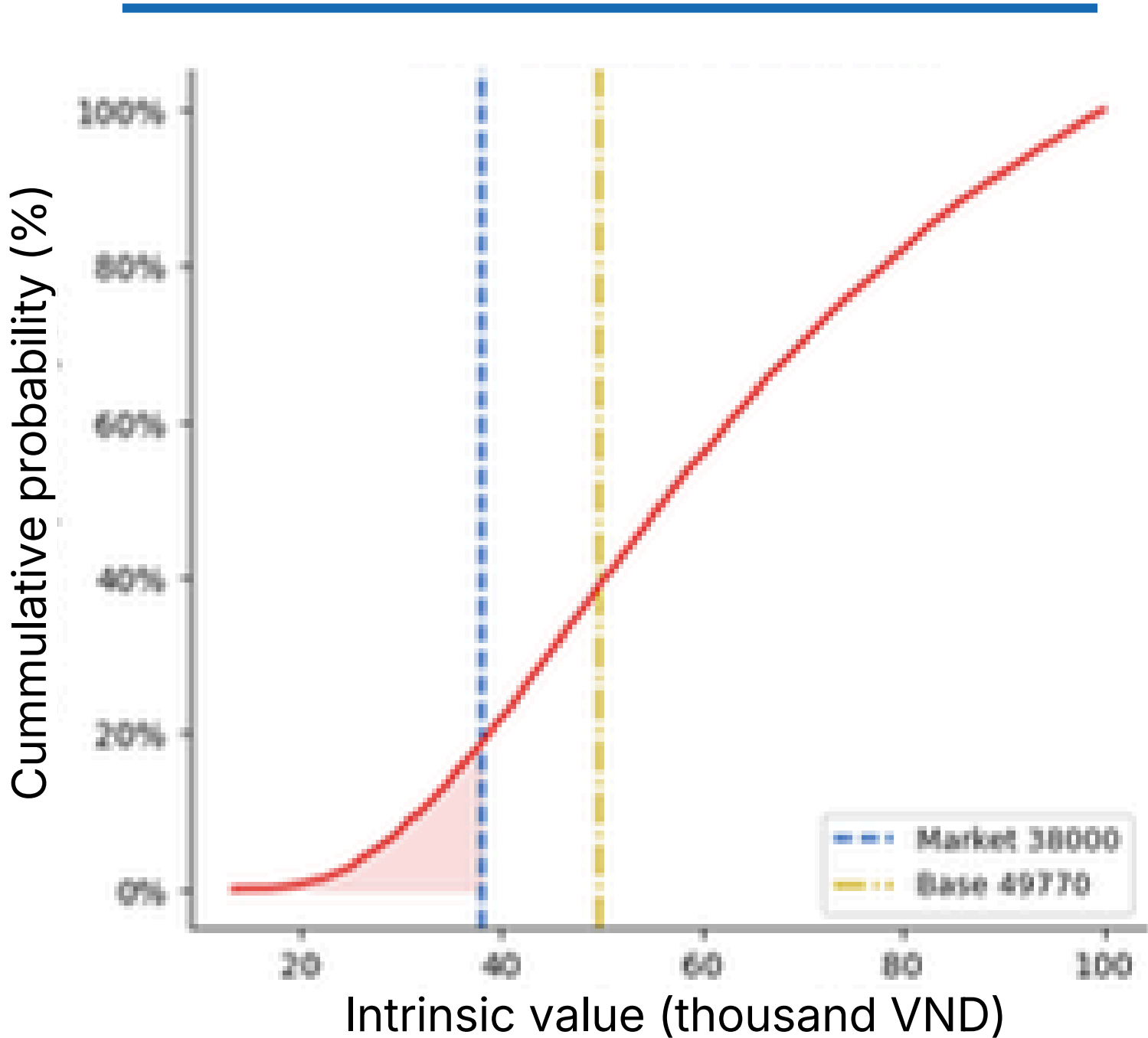
Appendix 18: Monte Carlo Results Summary

Source: Team Analysis

Min	13,333
Max	199,902
Mean	71,991
Std dev	35,570
25th percentile	45,229
50th percentile	64,178
75th percentile	91,324

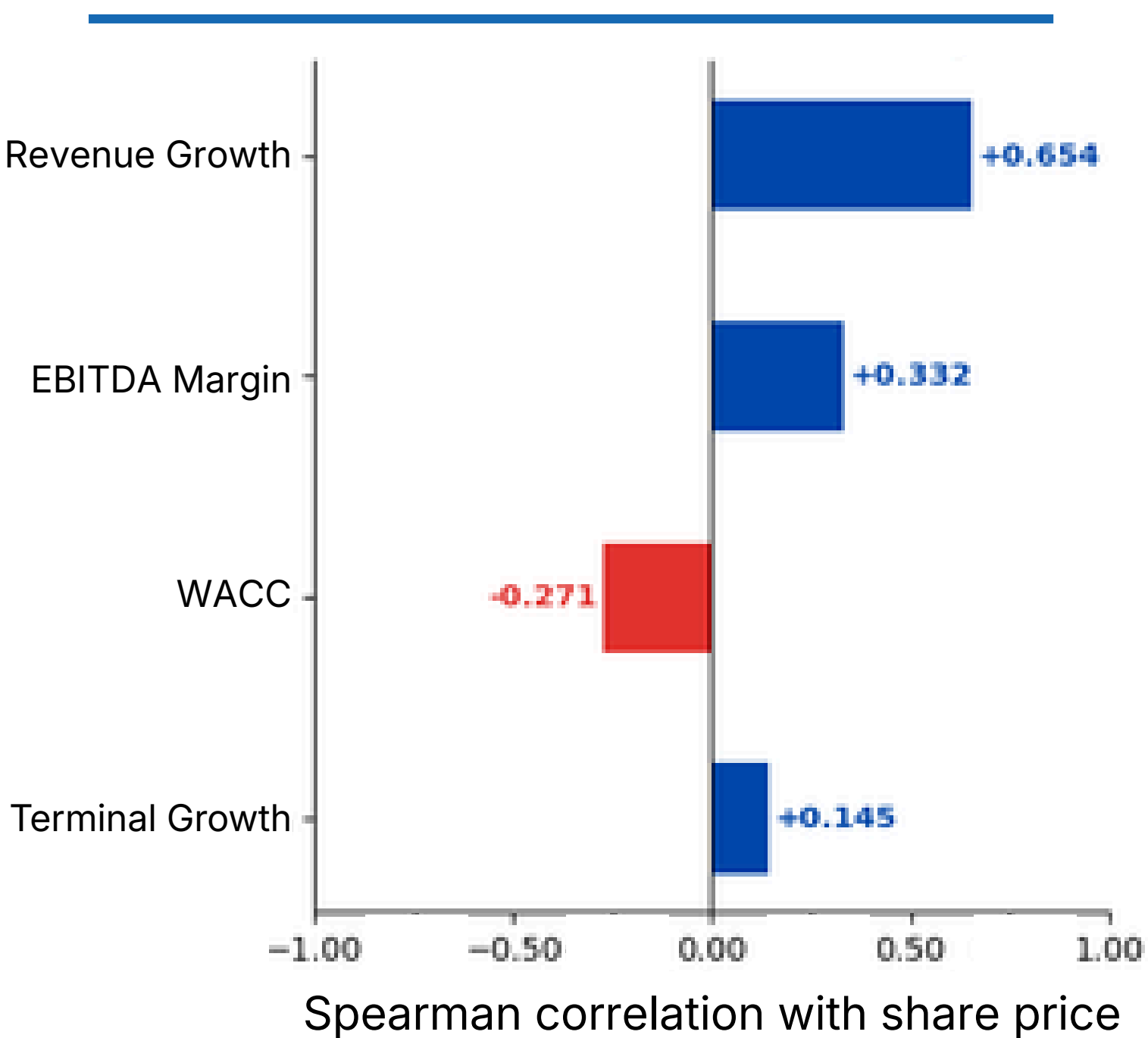
Appendix 19: Cumulative Distribution

Source: Team Analysis



Appendix 20: Tornado - Variable Sensitivity

Source: Team Analysis



Appendix 21: Average P/E Domestic Peers

Source: Team Analysis

Company	Market Cap (\$ M)	P/E
PetroVietnam Coating Joint Stock Company (PVB)	45,66	37
PetroVietnam Chemical and Services Joint Stock Corporation (PVC)	21,84	14,26
PetroVietnam Drilling & Well Services Corporation (PVD)	9,5	10,64
Petrolimex Equipment Joint Stock Company (PEQ)	644,27	20,86
O&G Average		17,52

Appendix 22: Average P/E Foreign Peers

Source: Team Analysis

Company	Market Cap (\$ M)	P/E
Malaysia Marine and Heavy Engineering (MHB)	145,07	5
Seatrium Ltd. (5E2)	5662,59	15,38
OSW Average		10,19

Appendix 23: Bull & Bear Analysis

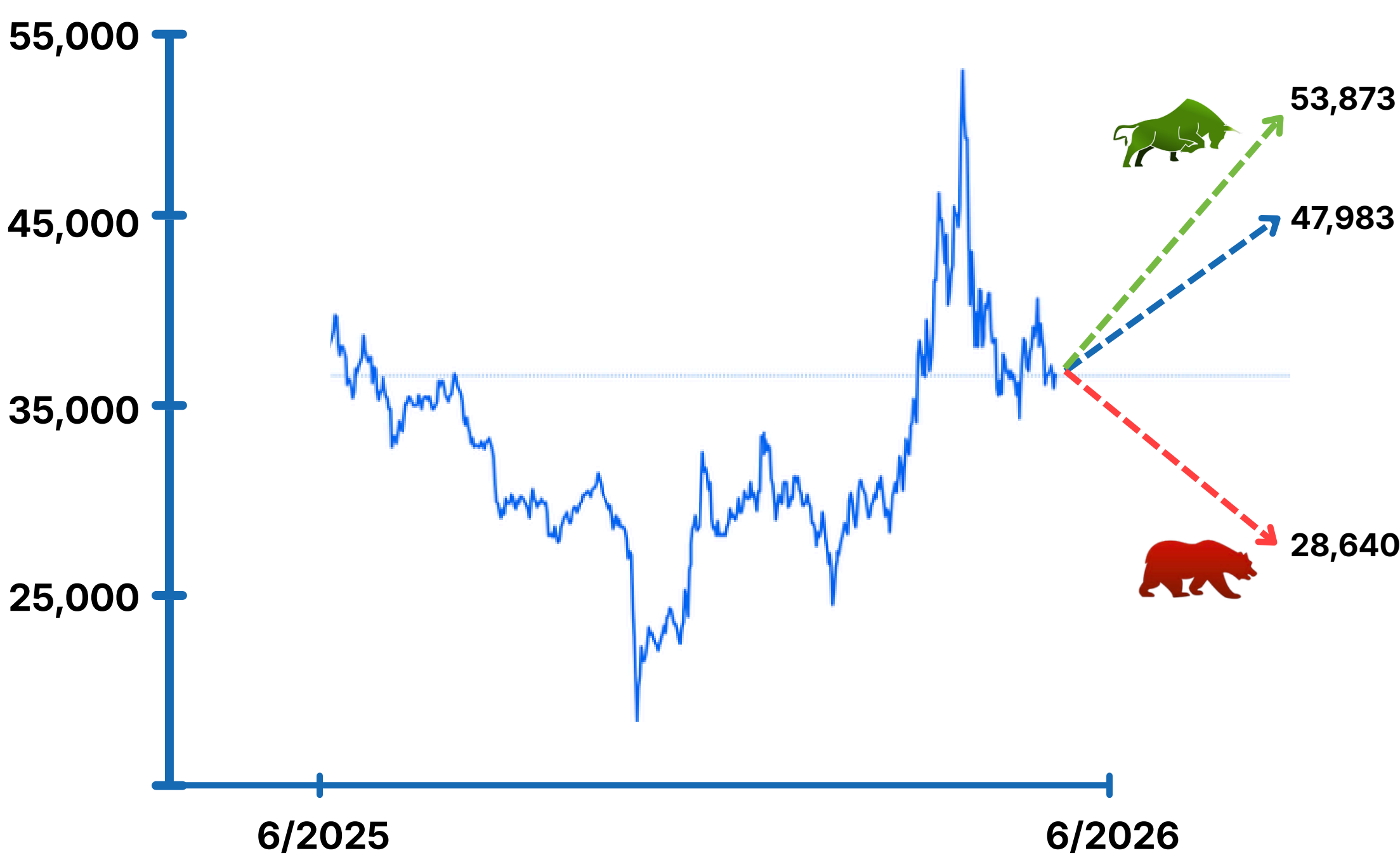
Source: Team Analysis

We constructed bull and bear case scenarios using a separate set of assumptions to consider possible deviations from our base case valuation. Drivers of divergence include: 1) oil price movements affecting PVN's upstream capex appetite, 2) execution pace on project pipeline, 3) M&C contract mix and overhead absorption, and 4) input cost and procurement dynamics within the SOE framework.

Bear case: PVS faces macro and project-level headwinds that compress margins and defer revenue realisation. Rising labour, materials, and subcontractor costs cannot be fully passed through under fixed-price EPC contracts, causing gross margin to decline to 4.25% and EBITDA margin to 3.00%. Brent crude sustained below USD 70/bbl prompts PVN to exercise budgetary restraint, reducing new tender flow and intensifying price competition among domestic EPC contractors. Elevated risk premium and tighter liquidity push WACC to 11.67% and trim terminal growth to 5.00%, implying 28,640 VND/share (-24.63%).

Bull case: PVS benefits from a favourable upstream investment cycle underpinned by Brent above USD 85/bbl and accelerated PVN capital deployment. PVS wins incremental international tenders and expands its JV pipeline, capitalising on the regional energy transition capex wave. A more accommodative rate environment compresses WACC to 9.67%, while terminal growth is maintained at 8.00%, consistent with PVS's alignment with Vietnam's National Energy Master Plan. The combined effect implies 53,873 VND/share (+41.77%).

	BEAR	BASE	BULL
Gross Margin	4,25%	5,25%	6,00%
EBITDA Margin	3%	3,85%	5%
Terminal growth rate	5%	8%	8%
WACC	11,67%	10,67%	9,67%
Upside/(Downside)	-24,63%	26,26%	41,77%



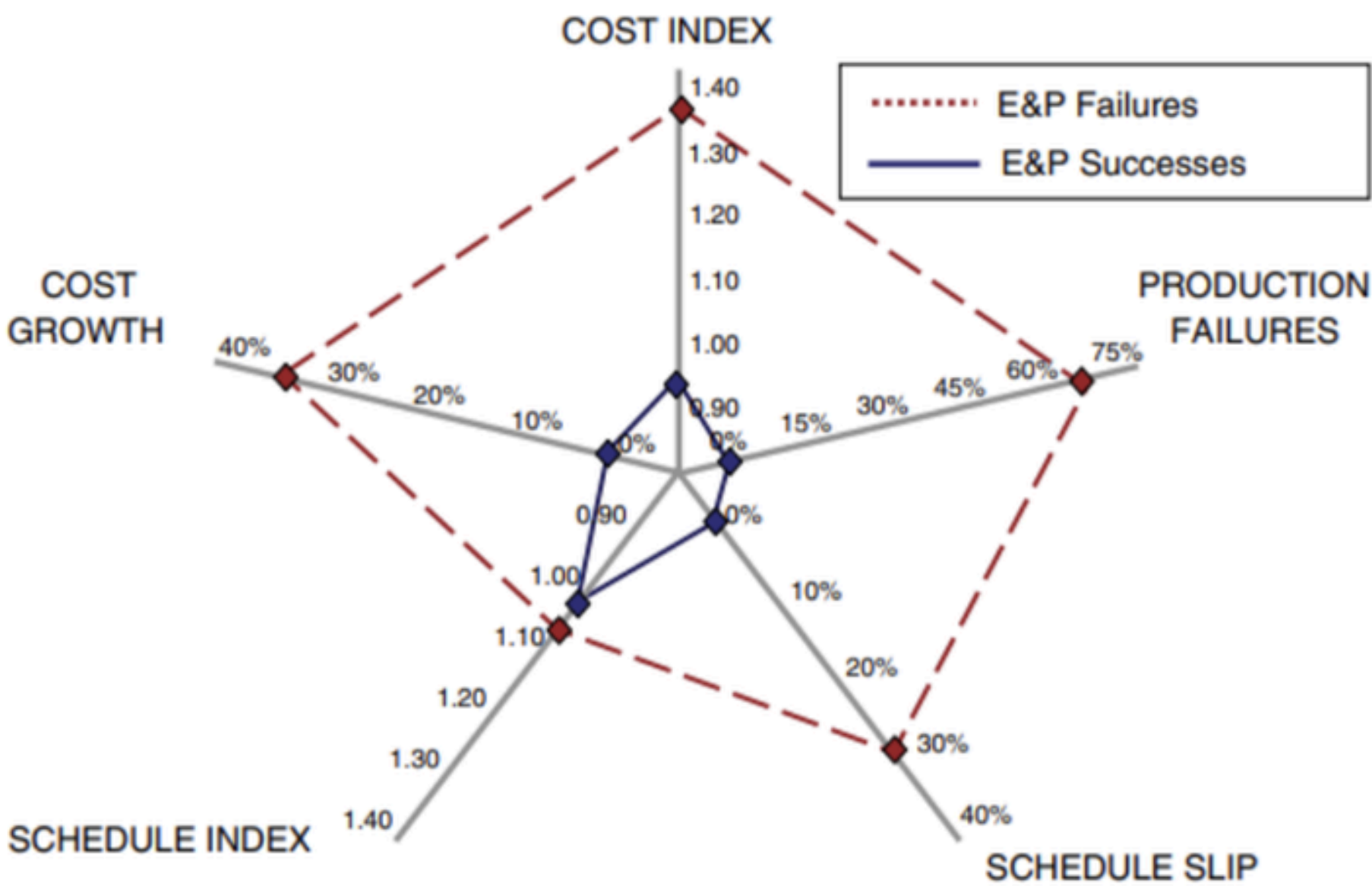
Appendix 24. E&P and non E&P Megaproject outcomes

Source: IPA

Measure of Merit	Upstream	Others
Cost overrun (%)	25	15
Cost competitiveness % of industry average capex	127	111
Slip in execution schedules (%)	22	15
Severe and continuing production shortfalls	45	32

Appendix 25. E&P megaproject successes and failures

Source: Team Analysis, IPA



Appendix. 26: Income Statement Forecast							
Source: Team Analysis							
	2024	2025	2026F	2027F	2028F	2029F	2030F
Net revenue	23,769	32,718	39,356	37,116	36,691	40,951	47,191
M&C	13,769	21,803	27,472	24,725	23,489	27,012	32,415
FSO	2,369	2,791	3,070	3,224	3,708	3,893	4,088
Port	1,550	1,993	2,193	2,017	1,916	2,012	2,173
Others	6,080	6,129	6,619	7,148	7,577	8,032	8,514
COGS	-22,704	-30,847	-37,297	-35,552	-35,538	-39,256	-45,157
M&C	-13,653	-21,176	-26,648	-24,107	-23,254	-26,472	-31,604
FSO	-2,236	-2,630	-2,886	-3,047	-3,485	-3,659	-3,842
Port	-1,239	-1,591	-1,710	-1,493	-1,418	-1,610	-1,738
Others	-5,574	-5,449	-6,051	-6,904	-7,379	-7,514	-7,971
Gross Profit	1,065	1,870	2,058	1,564	1,153	1,694	2,033
Financial Cost	-217.475	-128.655	144.702	145.330	139.562	143.198	14.697
Interest Cost	-64.045	-68.456	-56.665	-56.911	-54.652	-56.076	-55.880
Profit (Loss) From Joint Ventures	864,280	825,831	858,865	862,994	867,123	875,381	883,640
Selling Cost	-95,203	-110,376	-153,488	-144,754	-143,098	-159,709	-184,046
G&A Cost	-1,235	-1,278	-1,329	-1,336	-1,342	-1,355	-1,368
Profit (Loss) From Operations	950.34	2,106	1,923	1,449	1,081	1,621	1,887
Other Net	602.96	98.56	141.01	122.77	107.09	117.35	122.05
EBT	1,553	2,204	2,064	1,572	1,188	1,738	2,009
Tax Expense	-298.5	-283.6	-394.6	-262.4	-202.7	-295.16	-330.14
Net Income	1,254	1,920	1,670	1,309	985	1,443	1,6792

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- Large language models such as OpenAI were used to proofread and ensure proper language usage and coherence only. All analysis, valuation, graphs, content, conclusions, and opinions remain those of the authors of the report.